

CITY OF PORTLAND, TENNESSEE
ANNUAL FINANCIAL REPORT
FOR THE FISCAL YEAR ENDED JUNE 30, 2025

CITY OF PORTLAND, TENNESSEE

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INTRODUCTORY SECTION

CITY OF PORTLAND, TENNESSEE

DIRECTORY

June 30, 2025

ELECTED OFFICIALS

Mike Callis, Mayor
Megan Thompson, Vice Mayor
Vince Ellis, Alderman
Mike Hall, Alderman
Charles Cole, Alderman
Jody McDowell, Alderman
Andrew Jennings, Alderman
Brian Woodall, Alderman

APPOINTED OFFICIALS

Rachel Slusser, Director of Finance, CMFO
Joseph B. (Jack) Freedle, City Judge

COUNSEL

John R. Bradley
City Attorney
Portland, Tennessee

INDEPENDENT CERTIFIED PUBLIC ACCOUNTANTS

ATA, PC
Jackson, Tennessee

FINANCIAL SECTION



Independent Auditor's Report

Honorable Mike Callis, Mayor
Members of the City Council
City of Portland, Tennessee

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Portland, Tennessee (the City), as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the Table of Contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City, as of June 30, 2025, and the respective changes in financial position and, where applicable, cash flows thereof and the respective budgetary comparison for the general fund and airport fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City, and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards* we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, pension and other post-employment benefits related schedules and notes as listed in the table of contents be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate

operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The supplementary information section, as listed in the table of contents, including the schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information section, as listed in the table of contents, including the schedule of expenditures of federal awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory section but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated March 25, 2026 on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That reporting is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

ATA, PC

Jackson, Tennessee
March 25, 2026

MANAGEMENT'S DISCUSSION AND ANALYSIS

As management of the City of Portland, Tennessee, we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2025. The analysis focuses on significant financial position, budget changes and specific issues related to funds and economic factors affecting the City. It also focuses on current year activities and the resulting changes.

FINANCIAL HIGHLIGHTS

- The assets and deferred outflows of resources of the City exceeded its liabilities and deferred inflows of resources at the close of the fiscal year by \$111.08 million as compared to \$99.62 million in the prior year. Of these amounts, \$29.96 million (unrestricted net position) as compared to \$28.51 million in the prior year may be used to meet the City's ongoing obligations to citizens and creditors.
- The government's total net position increased by \$11.46 million in 2025 compared to an increase of \$7.39 million in 2024, not including a (\$48) thousand of restatement.
- As of the close of the current fiscal year, the City's governmental funds reported ending fund balances of \$16.17 million, an increase of \$3.69 million from the prior year. Approximately \$10.57 million of that total is available for spending at the government's discretion.
- At the end of the current fiscal year, unassigned fund balance of the General Fund was \$10.57 million, or 57.33% of the total general fund expenditures as compared to \$6.75 million the prior year.
- The City's total debt obligations increased by \$5.90 million during the current fiscal year.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the City's basic financial statements. The City's basic financial statements are comprised of the following components:

1. Government-wide financial statements,
2. Fund financial statements, and
3. Notes to the financial statements.
4. This report also contains required supplementary information and supplementary and other information in addition to the basic financial statements themselves.

Government-Wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

- The Statement of Net Position presents information on all of the City's assets, liabilities and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating.
- The Statement of Activities presents information showing how the City's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes, compensated absences, etc.).

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that

MANAGEMENT'S DISCUSSION AND ANALYSIS

are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The governmental activities of the City include general government, public safety, highways and streets, sanitation, economic development, and cultural and recreation. The business-type activities of the City are made up of Water and Sewer and Natural Gas services. The government-wide financial statements can be found on pages 11 to 13 of this report.

Fund Financial Statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into three categories: governmental funds, proprietary funds, and fiduciary funds.

Governmental funds - Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, the focus is on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources at the end of the fiscal year. Such information may be useful in evaluating the government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the City's near-term financing decisions. Both the Balance Sheet - Governmental Funds and the Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds provide a reconciliation to facilitate this comparison between governmental funds and governmental activities. The governmental fund financial statements and reconciliations can be found on pages 14 to 17 of this report.

The City maintains eight governmental funds. Information is presented separately in the Balance Sheet - Governmental Funds and in the Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds for the General Fund and Airport Fund, which are considered to be major funds. Data from the other six governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these nonmajor governmental funds is provided in the form of combining statements beginning on page 68.

The City adopts an annual appropriated budget for the General Fund and the Airport Fund and the special revenue funds and the debt service fund. Budgetary comparison statements have been provided on pages 23 to 36 and pages 70 to 75 of this report.

Proprietary funds - There are two different types of proprietary funds.

- *Enterprise funds* are used to report the same functions presented as business-type activities in the government-wide financial statements. The City uses enterprise funds to account for the Water and Sewer and Gas Funds.
- *Internal service funds* are an accounting device used to accumulate and allocate costs internally among a government's various functions. The City currently has no internal service funds.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for the Water and Sewer and Natural Gas operations which are considered to be major funds of the City. The basic proprietary fund financial statements can be found on pages 18 to 22 of this report.

MANAGEMENT'S DISCUSSION AND ANALYSIS

Fiduciary funds – Fiduciary funds are used to account for resources held for the benefit of parties outside the City. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the City of Portland's own programs. The accounting used for fiduciary funds is much like that used for proprietary funds. Individual fund data for the fiduciary fund can be found on page 37 of this report.

Notes to the Financial Statements

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found on pages 38 to 63 of this report.

Other Information

In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the City's schedules of funding progress for their respective pension plans and other post-employment benefits.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Statement of Net Position - As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the City, assets and deferred outflows of resources exceeded liabilities and deferred inflows of resources by \$111.08 million at the close of the most recent fiscal year, as compared to \$99.62 million at the close of the previous year.

By far the largest portion of the City's net position (69.18%) reflects its net investment in capital assets (e.g., land, buildings, machinery, equipment and infrastructure). The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

An additional portion of the City's net position \$4.28 million (3.85%) represents resources that are subject to external restrictions on how they may be used. The remaining balance of net position representing unrestricted net position \$29.96 million (26.97%) may be used to meet the City's ongoing obligations to citizens and creditors. At the end of the current fiscal year, the City is able to report positive balances in all three categories of net position, both for the City as a whole, as well as for its total governmental and total business-type activities.

Comparisons with the prior year data are presented below.

MANAGEMENT'S DISCUSSION AND ANALYSIS

	Governmental Activities		Business-type Activities		Total	
	2025	2024	2025	2024	2025	2024
Current and other assets	\$ 25,324,069	\$ 22,191,757	\$ 19,303,930	\$ 21,634,501	\$ 44,627,999	\$ 43,826,258
Capital assets	47,179,993	42,418,026	74,250,459	65,075,568	121,430,452	107,493,594
Total assets	<u>72,504,062</u>	<u>64,609,783</u>	<u>93,554,389</u>	<u>86,710,069</u>	<u>166,058,451</u>	<u>151,319,852</u>
Deferred outflows of resources	1,898,758	2,396,632	968,379	1,184,616	2,867,137	3,581,248
Long-term liabilities	16,361,399	11,995,524	30,547,345	29,382,863	46,908,744	41,378,387
Other liabilities	1,554,590	1,027,706	1,382,422	5,501,963	2,937,012	6,529,669
Total liabilities	<u>17,915,989</u>	<u>13,023,230</u>	<u>31,929,767</u>	<u>34,884,826</u>	<u>49,845,756</u>	<u>47,908,056</u>
Deferred inflows of resources	7,576,618	7,052,789	423,105	315,481	7,999,723	7,368,270
Net position:						
Net investment in						
capital assets	32,429,036	32,222,886	44,417,683	36,463,253	76,846,719	68,686,139
Restricted	4,078,775	2,429,039	197,472	-	4,276,247	2,429,039
Unrestricted	12,402,402	12,278,471	17,554,741	16,231,125	29,957,143	28,509,596
Total net position	<u>\$ 48,910,213</u>	<u>\$ 46,930,396</u>	<u>\$ 62,169,896</u>	<u>\$ 52,694,378</u>	<u>\$ 111,080,109</u>	<u>\$ 99,624,774</u>

The government's total assets increased significantly due to the capital projects that were completed and in progress during the current fiscal year. Total liabilities increased significantly due to new long-term debt issued in the current year.

Statement of Activities - Expenses in the governmental activities exceeded program revenues by \$12.85 million. In the business-type activities program revenues exceeded expenses by \$9.35 million. General government revenues and transfers of \$14.83 million offset the governmental activities deficit resulting in a positive change of net position of \$1.98 million. Other business-type revenues of \$583 thousand and transfers of (\$459) thousand increased income in the business type activities leaving a positive change in net position of \$9.48 million.

	Governmental Activities		Business-type Activities		Total	
	2025	2024	2025	2024	2025	2024
Revenues:						
Program revenues:						
Charges for services	\$ 4,892,491	\$ 4,016,215	\$ 19,520,659	\$ 17,444,980	\$ 24,413,150	\$ 21,461,195
Operating grants and contributions	470,186	712,034	102,051	568,191	572,237	1,280,225
Capital grants and contributions	869,978	2,778,382	5,529,674	986,936	6,399,652	3,765,318
General revenues:						
Property taxes	7,102,287	5,118,491	-	-	7,102,287	5,118,491
Other taxes	6,337,437	6,141,056	-	-	6,337,437	6,141,056
Other sources	927,588	605,328	582,628	856,872	1,510,216	1,462,200
Total revenues	<u>20,599,967</u>	<u>19,371,506</u>	<u>25,735,012</u>	<u>19,856,979</u>	<u>46,334,979</u>	<u>39,228,485</u>

MANAGEMENT'S DISCUSSION AND ANALYSIS

	Governmental Activities		Business-type Activities		Total	
	2025	2024	2025	2024	2025	2024
Expenses:						
General government	\$ 4,773,933	\$ 1,700,849	\$ -	\$ -	\$ 4,773,933	\$ 1,700,849
Public safety	6,713,760	8,122,056	-	-	6,713,760	8,122,056
Public works	4,570,666	5,507,021	-	-	4,570,666	5,507,021
Health, welfare and recreation	1,637,136	1,760,819	-	-	1,637,136	1,760,819
Animal control	147,233	-	-	-	147,233	-
Grants and projects	684,113	-	-	-	684,113	-
Economic development	171,331	124,199	-	-	171,331	124,199
Interest on debt	381,443	346,064	-	-	381,443	346,064
Water and Sewer	-	-	9,691,838	9,192,650	9,691,838	9,192,650
Gas	-	-	6,108,191	5,156,130	6,108,191	5,156,130
Total expenses	<u>19,079,615</u>	<u>17,561,008</u>	<u>15,800,029</u>	<u>14,348,780</u>	<u>34,879,644</u>	<u>31,909,788</u>
Revenues over/under expenses	1,520,352	1,810,498	9,934,983	5,508,199	11,455,335	7,318,697
In lieu of taxes in (out)	459,465	419,693	(459,465)	(419,693)	-	-
Gain/ loss from sale of asset	-	60,377	-	7,912	-	68,289
Increase in net position	<u>1,979,817</u>	<u>2,290,568</u>	<u>9,475,518</u>	<u>5,096,418</u>	<u>11,455,335</u>	<u>7,386,986</u>
Net position - beginning	46,930,396	44,526,807	52,694,378	47,758,705	99,624,774	92,285,512
Restatement-error correction	-	113,021	-	(160,745)	-	(47,724)
Net position - beginning - restated	<u>46,930,396</u>	<u>44,639,828</u>	<u>52,694,378</u>	<u>47,597,960</u>	<u>99,624,774</u>	<u>92,237,788</u>
Net position - ending	<u>\$ 48,910,213</u>	<u>\$ 46,930,396</u>	<u>\$ 62,169,896</u>	<u>\$ 52,694,378</u>	<u>\$ 111,080,109</u>	<u>\$ 99,624,774</u>

In governmental activities capital grants and contributions decreased \$1.91 million due mainly to the completion of several grant projects in the prior year. In the business type activities capital grants and contributions increased by \$4.54 million due mainly to ARPA grant revenue in the current year.

Governmental policy continues to recognize that local revenue sources must be the foundation for providing basic public services rather than depending on uncertain Federal and State sources. To this end, it is vitally important to continue efforts to seek balanced diversity, equity, and efficiency in local revenue systems to better accommodate future change.

Overall expenses for 2025 were greater than expenses in 2024 in the governmental activities by \$1.52 million. For departments with increases, the increases were mainly due to capital projects and grant activities. All departments worked diligently to keep operational spending to a minimum in continued tight economic times.

FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

Governmental funds - The focus of the City's governmental funds is to provide information on near-term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the City's financing requirements. In particular, unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year. Based on the statements and discussion, the overall financial position of the City has improved during the period.

The General Fund is the chief operation fund of the City. At the end of the current fiscal year, the unassigned fund balance of the general fund was \$10.57 million while total fund balance was \$12.83 million. As a measure of the general fund's liquidity, it may be useful to compare both unassigned fund balance and total fund balance to total fund expenditures. Unassigned fund balance represents 57.33% of total general fund expenditures in 2025. Total fund balance represents 69.58% of total general fund expenditures in 2025.

MANAGEMENT'S DISCUSSION AND ANALYSIS

The fund balance of the City's general fund increased by \$2.53 million during the current fiscal year. A key factor in this increase was the continued increases in local taxes while also managing expenditures in an effective manner.

Proprietary funds - The City's proprietary funds provide the same type of information found in the government-wide financial statements, but in more detail. Proprietary funds are considered business-type activities and are operated similarly. Net position of the proprietary funds increased by \$9.48 million in 2025 as compared to \$5.10 million in 2024.

Unrestricted net position of the proprietary funds amounted to \$17.55 million as compared to \$16.23 million in the prior year. The change in net position of the individual proprietary funds were as follows:

- Water and Sewer Fund - \$8.77 million in 2025 compared to \$4.35 million in 2024.
- Natural Gas Fund – \$703 thousand in 2025 compared to \$744 thousand in 2024.

General Fund budgetary highlights - The City made revisions to the original appropriations approved by the City Council. Overall these changes resulted in a \$3.57 million increase in budgeted expenditures from the original budget. The increase of approximately 19.08% was mainly for capital expenditures and grant projects.

Actual revenues and other financing sources exceeded budgeted amounts by \$2.76 million. The largest variances were related to proceeds from issuance of debt.

Actual expenditures and transfers out were under budget by \$3.85 million, which was due largely to the state park – splash pad grant being budgeted for approximately \$2.47 million and only \$216 thousand being spent in the current year.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets - At the end of Fiscal Year 2025, the City had invested \$121.43 million net of accumulated depreciation in land, buildings, improvements, machinery and equipment, park facilities, roads, highways, bridges, and utility systems. The total increase in the City's investment in capital assets for the current fiscal year was 12.97%. Additional information on the City's capital assets can be found in Note 4.C. beginning on page 47 of this report.

Long-term debt - At the end of the current fiscal year, the City had total long-term debt outstanding of \$43.02 million as compared to \$37.12 million at the end of the prior fiscal year. Of this amount, \$17.47 million represents debt backed by the full faith and credit of the City. The remainder of the City's debt represents bonds secured by specific revenue sources (i.e. revenue and tax bonds) of the various enterprise funds. Information on the City's long-term debt can be found in Note 4.E. beginning on page 50 of this report.

ECONOMIC FACTORS AND NEXT YEAR'S BUDGET

The unemployment rate for the City of Portland is currently 2.4% compared to the State unemployment rate of 3.1% and the national rate of 3.9%.

The Portland Airport continues to seek federal and state grant programs to enhance the airport. Realizing the benefit of air service in the northern part of the county, Sumner County provides an annual allocation of funds to partner with Portland on Airport projects. The completion of various major projects at the airport and the current additional on-going enhancements will provide more opportunities

MANAGEMENT'S DISCUSSION AND ANALYSIS

for service to our local industries and citizens. The improved airport is a strong attraction for prospective industries to our city.

REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the City of Portland's finances for citizens, taxpayers, customers, investors, creditors and all others with an interest in the City's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Department of Finance, City of Portland, 100 South Russel St, Portland, TN, 37148.

BASIC FINANCIAL STATEMENTS

CITY OF PORTLAND, TENNESSEE
STATEMENT OF NET POSITION
June 30, 2025

	Governmental Activities	Business-type Activities	Total
Assets			
Cash and cash equivalents	\$ 14,900,249	\$ 14,427,198	\$ 29,327,447
Investments	-	1,104,163	1,104,163
Receivables			
Interest	-	8,361	8,361
Taxes (net of allowance)	6,999,207	-	6,999,207
Accounts (net of allowance)	191,729	1,059,527	1,251,256
Grant	634,224	771,036	1,405,260
Intergovernmental	517,756	-	517,756
Other	46,457	-	46,457
Amounts held in escrow with state	269,028	-	269,028
Prepayments and other current assets	27,273	29,676	56,949
Inventory	73,292	1,562,955	1,636,247
Internal balances	(767)	767	-
Restricted assets:			
Cash and cash equivalents	1,264,693	142,775	1,407,468
Net pension asset	400,928	197,472	598,400
Capital assets, not being depreciated			
Land	8,587,477	1,312,216	9,899,693
Construction in progress	4,704,845	24,559,510	29,264,355
Capital assets, net of accumulated depreciation			
Buildings	12,273,644		12,273,644
Other improvements	10,941,336		10,941,336
Infrastructure	7,227,898		7,227,898
Machinery and equipment	3,444,793		3,444,793
Water & Sewer plant	-	36,037,370	36,037,370
Natural gas plant	-	11,465,085	11,465,085
Machinery, equipment, and vehicles	-	876,278	876,278
Total assets	72,504,062	93,554,389	166,058,451
Deferred outflows of resources			
Loss on bond refunding	-	33,170	33,170
Pension-related	1,591,793	784,018	2,375,811
OPEB-related	306,965	151,191	458,156
Total deferred outflows of resources	\$ 1,898,758	\$ 968,379	\$ 2,867,137

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
STATEMENT OF NET POSITION

June 30, 2025

	Governmental Activities	Business-type Activities	Total
Liabilities			
Accounts payable	\$ 817,242	\$ 693,641	\$ 1,510,883
Retainage payable	-	13,773	13,773
Accrued expenses	474,817	85,035	559,852
Unearned revenue	13,000	362,854	375,854
Accrued interest	78,323	213,561	291,884
Accrued payroll	-	13,558	13,558
Performance deposits	21,537	-	21,537
Unearned evidence funds	3,759	-	3,759
Retainage payable	145,912	-	145,912
Long-term liabilities:			
Compensated absences	504,394	169,799	674,193
Due within one year	535,800	1,222,051	1,757,851
Due in excess of one year	14,215,157	28,610,725	42,825,882
Other liabilities due in more than one year:			
OPEB liability	1,106,048	544,770	1,650,818
Total liabilities	17,915,989	31,929,767	49,845,756
Deferred inflows of resources			
Unavailable property taxes	6,717,588	-	6,717,588
OPEB-related	538,821	265,390	804,211
Pension-related	320,209	157,715	477,924
Total deferred inflows of resources	7,576,618	423,105	7,999,723
Net Position			
Net investment in capital assets	32,429,036	44,417,683	76,846,719
Restricted for			
Pension asset	400,928	197,472	598,400
Airport	371,183	-	371,183
Solid waste	1,152,996	-	1,152,996
Amounts held in escrow	269,028	-	269,028
State Street Aid	258,160	-	258,160
Stormwater	618,387	-	618,387
Drug enforcement	68,127	-	68,127
E-Citation fund	12,675	-	12,675
Impact fee	927,291	-	927,291
Unrestricted	12,402,402	17,554,741	29,957,143
Total net position	\$ 48,910,213	\$ 62,169,896	\$ 111,080,109

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
STATEMENT OF ACTIVITIES
For the Fiscal Year Ended June 30, 2025

Functions/Programs	Expenses	Program Revenues			Net (Expense) Revenue and Changes in Net Position		Total
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-type Activities	
Primary government							
Governmental activities							
General government	\$ 4,773,933	\$ 383,059	\$ 399,564	\$ 262,808	\$ (3,728,502)	\$ -	\$ (3,728,502)
Public safety	6,713,760	270,026	70,622	-	(6,373,112)	-	(6,373,112)
Public works	4,570,666	3,866,447	-	128,133	(576,086)	-	(576,086)
Animal control	147,233	-	-	-	(147,233)	-	(147,233)
Health, welfare, and recreation	1,637,136	372,959	-	479,037	(785,140)	-	(785,140)
Grants and projects	684,113	-	-	-	(684,113)	-	(684,113)
Economic development	171,331	-	-	-	(171,331)	-	(171,331)
Interest on long-term debt	381,443	-	-	-	(381,443)	-	(381,443)
Total governmental activities	<u>19,079,615</u>	<u>4,892,491</u>	<u>470,186</u>	<u>869,978</u>	<u>(12,846,960)</u>	<u>-</u>	<u>(12,846,960)</u>
Business-type activities							
Water & Sewer	9,691,838	12,836,522	102,051	5,414,931	-	8,661,666	8,661,666
Gas	6,108,191	6,684,137	-	114,743	-	690,689	690,689
Total business-type activities	<u>\$ 15,800,029</u>	<u>\$ 19,520,659</u>	<u>\$ 102,051</u>	<u>\$ 5,529,674</u>	<u>-</u>	<u>9,352,355</u>	<u>9,352,355</u>
General revenues							
Property taxes - levied for general government					6,909,825	-	6,909,825
In lieu of taxes - other governments					192,462	-	192,462
Sales and use taxes					6,055,256	-	6,055,256
Business taxes					282,181	-	282,181
Insurance recoveries					84,172	45,974	130,146
Sale of capital assets					65,606	7,900	73,506
Other sources					367,327	-	367,327
Unrestricted interest income					410,483	528,754	939,237
Total general revenues					<u>14,367,312</u>	<u>582,628</u>	<u>14,949,940</u>
Transfers							
In lieu of taxes in (out)					459,465	(459,465)	-
Total transfers					<u>459,465</u>	<u>(459,465)</u>	<u>-</u>
Total general revenues and transfers					<u>14,826,777</u>	<u>123,163</u>	<u>14,949,940</u>
Changes in net position					1,979,817	9,475,518	11,455,335
Net position - beginning					46,930,396	52,694,378	99,624,774
Net position - ending					<u>\$ 48,910,213</u>	<u>\$ 62,169,896</u>	<u>\$ 111,080,109</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
BALANCE SHEET
GOVERNMENTAL FUNDS
June 30, 2025

	General	Airport	Other Governmental Funds	Total Governmental Funds
Assets				
Cash and cash equivalents	\$ 11,643,225	\$ 395,271	\$ 2,861,753	\$ 14,900,249
Restricted cash and cash equivalents	1,264,693	-	-	1,264,693
Receivables				
Taxes (net of allowance of \$120,871)	6,999,207	-	-	6,999,207
Accounts (net of allowance of \$0)	-	-	191,729	191,729
Grants	583,254	50,970	-	634,224
Other	46,457	-	-	46,457
Due from other funds	609	-	-	609
Due from other governments	517,756	-	-	517,756
Amounts held in escrow with state	258,736	10,292	-	269,028
Inventories	53,819	13,112	6,361	73,292
Prepaid expense	17,323	6,411	3,539	27,273
Total assets	\$ 21,385,079	\$ 476,056	\$ 3,063,382	\$ 24,924,517
Liabilities				
Accounts payable	\$ 670,354	\$ 53,919	\$ 92,969	\$ 817,242
Accrued expenses	474,332	485	-	474,817
Unearned revenue	1,750	11,250	-	13,000
Due to other funds	767	109	500	1,376
Unearned evidence funds	-	-	3,759	3,759
Retainage payable	145,912	-	-	145,912
Performance deposits	-	-	21,537	21,537
Total liabilities	1,293,115	65,763	118,765	1,477,643
Deferred inflows of resources				
Unavailable property taxes	6,999,207	-	-	6,999,207
Unavailable grant revenue	265,708	9,295	-	275,003
Total deferred inflows of resources	7,264,915	9,295	-	7,274,210
Fund balances				
Nonspendable				
Prepays	17,323	6,411	3,539	27,273
Inventory	53,819	13,112	6,361	73,292
Restricted for:				
Solid Waste	-	-	1,152,996	1,152,996
Amount held in escrow	258,736	10,292	-	269,028
State Street Aid	258,160	-	-	258,160
E-citation	-	-	12,675	12,675
Drug enforcement	-	-	68,127	68,127
Impact fees	-	-	927,291	927,291
Airport	-	371,183	-	371,183
Stormwater	-	-	618,387	618,387
Assigned for				
Park projects	199,071	-	-	199,071
Capital/Maintenance projects	425,000	-	-	425,000
TDOT Local Programs	435,000	-	-	435,000
Debt service	611,855	-	155,241	767,096
Unassigned	10,568,085	-	-	10,568,085
Total fund balances	12,827,049	400,998	2,944,617	16,172,664
Total liabilities, deferred inflows of resources, and fund balances	\$ 21,385,079	\$ 476,056	\$ 3,063,382	\$ 24,924,517

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
RECONCILIATION OF THE BALANCE SHEET OF GOVERNMENTAL FUNDS
TO THE STATEMENT OF NET POSITION
June 30, 2025

Amounts reported for the governmental activities in the statement of net position (Pages 11 and 12) are different because:

Fund balance - total governmental funds (Page 14)	\$ 16,172,664
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in funds.	47,179,993
Receivables not available to pay for current expenditures and, therefore, are deferred in the funds.	556,622
Other long-term assets, such as net pension asset, are not available to pay for current-period expenditures and, therefore, are not reported in the funds.	400,928
Long-term liabilities, including notes, bonds, leases payable, and other long term liabilities are not due in the current period and, therefore, are not reported in the funds.	
Bonds payable	(14,605,000)
Bond premiums	(173,617)
Bond discount	27,660
Compensated absences	(504,394)
OPEB liability	(1,106,048)
Deferred outflows of resources - pension and OPEB are not due in the current period and, therefore, are not reported in the funds	1,898,758
Deferred inflows of resources - pension are not receivable in the current period and, therefore, are not reported in the funds	(859,030)
Payables, such as accrued interest payable, are not due and payable in the current period and, therefore, are not reported in the funds.	(78,323)
Net position - governmental activities (Page 12)	<u>\$ 48,910,213</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS

For the Fiscal Year Ended June 30, 2025

			Other Governmental Funds	Total Governmental Funds
Revenues	General	Airport		
Taxes	\$ 10,972,733	\$ -	\$ -	\$ 10,972,733
Licenses and permits	665,220	-	-	665,220
Intergovernmental	3,201,071	2,207,667	280,342	5,689,080
Charges for services	375,719	314,962	2,667,719	3,358,400
Fines	206,492	-	12,332	218,824
Other	1,084,710	105,910	305,173	1,495,793
Total revenues	<u>16,505,945</u>	<u>2,628,539</u>	<u>3,265,566</u>	<u>22,400,050</u>
Expenditures				
Current				
General government	2,673,159	-	-	2,673,159
Public safety	7,758,273	-	30,130	7,788,403
Environmental services	-	-	2,180,321	2,180,321
Animal control	147,233	-	-	147,233
Public works	200,057	466,785	-	666,842
Highways and streets	1,692,954	-	-	1,692,954
Grants and projects	4,154,262	-	-	4,154,262
Parks and recreation	1,637,136	-	-	1,637,136
Economic development	171,331	-	-	171,331
Capital outlay	-	2,027,016	207,515	2,234,531
Debt service				
Principal	-	-	513,000	513,000
Interest	-	-	381,443	381,443
Total expenditures	<u>18,434,405</u>	<u>2,493,801</u>	<u>3,312,409</u>	<u>24,240,615</u>
Excess (deficiency) of revenues over (under) expenditures	<u>(1,928,460)</u>	<u>134,738</u>	<u>(46,843)</u>	<u>(1,840,565)</u>
Other financing sources (uses)				
Proceeds from issuance of debt	5,074,617	-	-	5,074,617
In lieu of tax payments - utility	459,465	-	-	459,465
Transfers (to)/from other funds	(1,074,267)	83,500	990,767	-
Total other financing sources (uses)	<u>4,459,815</u>	<u>83,500</u>	<u>990,767</u>	<u>5,534,082</u>
Net changes in fund balances	2,531,355	218,238	943,924	3,693,517
Fund balances - beginning	10,233,283	182,760	2,063,104	12,479,147
Restatement-change in presentation	62,411	-	(62,411)	-
Fund balance - beginning - restated	<u>10,295,694</u>	<u>182,760</u>	<u>2,000,693</u>	<u>12,479,147</u>
Fund balances - ending	<u>\$ 12,827,049</u>	<u>\$ 400,998</u>	<u>\$ 2,944,617</u>	<u>\$ 16,172,664</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES,
AND CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS TO
THE STATEMENT OF ACTIVITIES
For the Fiscal Year Ended June 30, 2025

Amounts reported for the governmental activities in the statement of activities (Page 13) are different because:

Net change in fund balances - total governmental funds (Page 16)	\$ 3,693,517
Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense in the current period. This is the amount by which capital outlays exceeded depreciation in the current period.	4,761,969
The payment of pension contributions consumes current financial resources in the governmental funds. These transactions do not have any effect on the net position, but are considered deferred outflows of resources, while pension or OPEB expense has no effect on the fund statements but does effect net position.	
Contributions subsequent to the measurement date- Pension	445,415
Pension expense	(423,910)
OPEB expense	(6,017)
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds.	(1,792,949)
The repayment of the principal of long-term debt consumes the current financial resources of governmental funds. These transactions do not have any effect on net position.	513,000
The issuance of long-term debt provides current financial resources to governmental funds. These transactions do not have any effect on net position.	
Sale of bonds	(5,074,617)
Some expenses reported in the statement of activities, such as accrued leave, bond amortization, and accrued interest, do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.	(136,591)
Change in net position of governmental activities (Page 13)	\$ <u>1,979,817</u>

CITY OF PORTLAND, TENNESSEE
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
June 30, 2025

Assets and deferred outflows of resources	Water & Sewer	Gas	Totals
Current assets			
Cash and cash equivalents	\$ 7,325,306	\$ 7,101,892	\$ 14,427,198
Investments	1,104,163	-	1,104,163
Accounts receivable - trade (net of allowance for uncollectibles)	831,905	227,622	1,059,527
Interest receivable	8,361	-	8,361
Grant receivable	656,293	114,743	771,036
Due from other funds	440	327	767
Inventory	1,281,384	281,571	1,562,955
Prepaid expenses	14,556	15,120	29,676
Total current assets	<u>11,222,408</u>	<u>7,741,275</u>	<u>18,963,683</u>
Noncurrent assets			
Restricted cash and cash equivalents	142,775	-	142,775
Net pension asset	149,600	47,872	197,472
Capital assets, not being depreciated			
Land	1,072,155	240,061	1,312,216
Construction in progress	23,097,522	1,461,988	24,559,510
Capital assets, net of accumulated depreciation			
Water & sewer plant	36,037,370	-	36,037,370
Natural gas plant	-	11,465,085	11,465,085
Machinery, equipment and vehicles	634,575	241,703	876,278
Total capital assets	<u>60,841,622</u>	<u>13,408,837</u>	<u>74,250,459</u>
Total noncurrent assets	<u>61,133,997</u>	<u>13,456,709</u>	<u>74,590,706</u>
Total assets	<u>72,356,405</u>	<u>21,197,984</u>	<u>93,554,389</u>
Deferred outflows of resources			
Loss on bond refunding	33,170	-	33,170
Pension-related	593,953	190,065	784,018
OPEB-related	114,539	36,652	151,191
Total deferred outflows of resources	<u>\$ 741,662</u>	<u>\$ 226,717</u>	<u>\$ 968,379</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
JUNE 30, 2025

Liabilities	Water & Sewer	Gas	Totals
Current liabilities			
Accounts payable	\$ 533,234	\$ 160,407	\$ 693,641
Retainage payable	13,773	-	13,773
Accrued expenses	85,035	-	85,035
Unearned revenue	361,780	1,074	362,854
Accrued interest	213,561	-	213,561
Accrued payroll	10,177	3,381	13,558
Current maturities of long-term debt	1,222,051	-	1,222,051
Total current liabilities	2,439,611	164,862	2,604,473
Noncurrent liabilities			
Compensated absences	125,125	44,674	169,799
OPEB liability	412,705	132,065	544,770
Notes payable (less current maturities)	2,659,107	-	2,659,107
Bonds payable (less current maturities)	25,951,618	-	25,951,618
Total noncurrent liabilities	29,148,555	176,739	29,325,294
Total liabilities	31,588,166	341,601	31,929,767
Deferred inflows of resources			
OPEB-related	201,053	64,337	265,390
Pension-related	119,481	38,234	157,715
Total deferred inflows of resources	320,534	102,571	423,105
Net position			
Net investment in capital assets	31,008,846	13,408,837	44,417,683
Restricted - Pension	149,600	47,872	197,472
Unrestricted	10,030,921	7,523,820	17,554,741
Total net position	\$ 41,189,367	\$ 20,980,529	\$ 62,169,896

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
PROPRIETARY FUNDS
For the Fiscal Year Ended June 30, 2025

	<u>Water & Sewer</u>	<u>Gas</u>	<u>Totals</u>
Operating revenues			
Charges for sales and service	\$ 12,847,050	\$ 6,640,962	\$ 19,488,012
Recovery of uncollectible	1,829	310	2,139
Uncollectible accounts	(34,232)	(5,878)	(40,110)
Miscellaneous	21,875	48,743	70,618
Total operating revenues	<u>12,836,522</u>	<u>6,684,137</u>	<u>19,520,659</u>
Operating expenses			
Gas purchases	-	3,600,057	3,600,057
Personnel services	3,673,631	1,219,652	4,893,283
Professional services	335,160	194,409	529,569
Other administrative	382,823	104,705	487,528
Insurance	208,357	20,865	229,222
Utility expense	649,767	40,991	690,758
Materials and supplies	1,037,148	252,699	1,289,847
Repairs and maintenance	1,022,253	90,957	1,113,210
Depreciation and amortization	1,605,464	583,856	2,189,320
Total operating expenses	<u>8,914,603</u>	<u>6,108,191</u>	<u>15,022,794</u>
Operating income (loss)	<u>3,921,919</u>	<u>575,946</u>	<u>4,497,865</u>
Nonoperating revenues (expenses)			
Interest income	334,194	194,560	528,754
Insurance recoveries	32,268	13,706	45,974
ARPA	2,888,661	-	2,888,661
Sale of asset	5,500	2,400	7,900
Amortization of bond premium	115,171	-	115,171
Bond issue costs	(1,574)	-	(1,574)
Reimbursement TDOT	578,983	-	578,983
Diesel grant	102,051	-	102,051
Interest and other expense	(890,832)	-	(890,832)
Total nonoperating revenues (expenses)	<u>3,164,422</u>	<u>210,666</u>	<u>3,375,088</u>
Income (loss) before transfers and contributions	<u>7,086,341</u>	<u>786,612</u>	<u>7,872,953</u>
Transfers and capital contributions			
Transfers out - in lieu of taxes	(261,033)	(198,432)	(459,465)
Capital contributions	1,947,287	114,743	2,062,030
Total transfers and capital contributions	<u>1,686,254</u>	<u>(83,689)</u>	<u>1,602,565</u>
Change in net position	8,772,595	702,923	9,475,518
Total net position - beginning	<u>32,416,772</u>	<u>20,277,606</u>	<u>52,694,378</u>
Total net position - ending	<u>\$ 41,189,367</u>	<u>\$ 20,980,529</u>	<u>\$ 62,169,896</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Fiscal Year Ended June 30, 2025

	Water & Sewer	Gas	Totals
Cash flows from operating activities:			
Cash received from consumers	\$ 12,816,206	\$ 6,639,924	\$ 19,456,130
Cash received from other operations	21,875	48,743	70,618
Cash paid to suppliers of goods and services	(4,591,055)	(4,242,279)	(8,833,334)
Cash paid to employees for services	(3,710,061)	(1,213,571)	(4,923,632)
Net cash provided (used) by operating activities	<u>4,536,965</u>	<u>1,232,817</u>	<u>5,769,782</u>
Cash flow from noncapital financing activities:			
Transfers to primary government	<u>(261,033)</u>	<u>(198,432)</u>	<u>(459,465)</u>
Cash flows from capital and related financing activities:			
Capital contributed by customers and grants	2,107,447	1,234	2,108,681
Insurance recoveries	32,268	13,706	45,974
Principal paid on debt	(1,002,468)	-	(1,002,468)
Proceeds from the issuance of debt	2,337,710	-	2,337,710
Interest paid on bonds and notes	(892,772)	-	(892,772)
Construction and acquisition of plant	(10,823,117)	(541,094)	(11,364,211)
Received on sale of assets	<u>5,500</u>	<u>2,400</u>	<u>7,900</u>
Net cash provided (used) by capital and related financing activities	<u>(8,235,432)</u>	<u>(523,754)</u>	<u>(8,759,186)</u>
Cash flows from investing activities:			
Purchase of investments	(1,104,163)	-	(1,104,163)
Sale of investments	1,056,203		1,056,203
Interest and other income	<u>334,194</u>	<u>194,560</u>	<u>528,754</u>
Net cash provided (used) by investing activities	<u>286,234</u>	<u>194,560</u>	<u>480,794</u>
Net increase (decrease) in cash and cash equivalents	(3,673,266)	705,191	(2,968,075)
Cash and cash equivalents - beginning of year	<u>11,141,347</u>	<u>6,396,701</u>	<u>17,538,048</u>
Cash and cash equivalents - end of year	<u>\$ 7,468,081</u>	<u>\$ 7,101,892</u>	<u>\$ 14,569,973</u>
Cash and cash equivalents			
Unrestricted cash and cash equivalents on deposit	7,325,306	7,101,892	14,427,198
Restricted cash and cash equivalents on deposit	<u>142,775</u>	<u>-</u>	<u>142,775</u>
Total cash and cash equivalents	\$ 7,468,081	\$ 7,101,892	\$ 14,569,973

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Fiscal Year Ended June 30, 2025

	<u>Water & Sewer</u>	<u>Gas</u>	<u>Totals</u>
Reconciliation of operating income (loss) to net cash provided (used) by operating activities:			
Operating income (loss)	\$ 3,921,919	\$ 575,946	\$ 4,497,865
Adjustments to reconcile operating income (loss) to net cash provided (used) by operating activities:			
Depreciation and amortization	1,605,464	583,856	2,189,320
Changes in assets and liabilities:			
Accounts receivable	1,559	4,530	6,089
Materials and supplies	(1,796)	(5,568)	(7,364)
Net pension asset	(149,600)	(47,872)	(197,472)
Deferred outflows of resources - Pension/OPEB	145,120	68,032	213,152
Prepayments and other current assets	(171,371)	31,023	(140,348)
Due from other funds	1,025	1,400	2,425
Accounts payable	(271,517)	21,399	(250,118)
Other accrued expense	11,349	-	11,349
Accrued payroll	(38,947)	(11,003)	(49,950)
Deferred inflows of resources - Pension/OPEB	83,147	24,477	107,624
Due to other funds	(271)	(54)	(325)
Retainage payable	(556,486)	-	(556,486)
OPEB liability	7,367	(768)	6,599
Net pension liability	(83,517)	(26,785)	(110,302)
Compensated absences	33,520	14,204	47,724
Net cash provided (used) by operating activities	<u>\$ 4,536,965</u>	<u>\$ 1,232,817</u>	<u>\$ 5,769,782</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	<u>Budgeted Amounts</u>			Variance with Final Budget Over (Under)
Revenues:	<u>Original</u>	<u>Final</u>	<u>Actual</u>	
Taxes:				
Property tax current	\$ 5,540,000	\$ 6,518,400	\$ 6,539,295	\$ 20,895
Property taxes delinquent	\$ 120,000	220,000	223,506	3,506
Property tax penalty and interest	20,000	74,000	76,277	2,277
Local sales tax	3,500,000	3,500,000	3,376,056	(123,944)
Local beer tax	266,000	266,000	301,069	35,069
Local liquor tax	70,000	70,000	106,257	36,257
Business tax	200,000	200,000	282,181	82,181
Cable TV franchise fee	87,000	87,000	64,847	(22,153)
Occupancy Tax	1,000	1,000	3,245	2,245
	<u>9,804,000</u>	<u>10,936,400</u>	<u>10,972,733</u>	<u>36,333</u>
Licenses and permits:				
Beer licenses	500	500	1,450	950
Building permits	200,000	200,000	313,898	113,898
Plumbing permits	140,000	140,000	44,437	(95,563)
Planning fees	215,000	215,000	195,225	(19,775)
Fire permits	2,500	2,500	39,202	36,702
Other mechanical permits	140,000	140,000	53,852	(86,148)
Other permits	9,000	9,000	17,156	8,156
	<u>707,000</u>	<u>707,000</u>	<u>665,220</u>	<u>(41,780)</u>
Intergovernmental:				
In lieu of tax - Housing authority	55,000	55,000	32,633	(22,367)
State - sales tax	1,590,000	1,590,000	1,655,949	65,949
State - income tax	25,000	25,000	-	(25,000)
State - beer tax	6,000	6,000	5,537	(463)
State - mixed drink tax	10,000	10,000	12,112	2,112
State- telephone	6,000	6,000	5,961	(39)
State - gas and motor fuel tax	497,000	497,000	119,367	(377,633)
State - gas - 1989	-	-	37,142	37,142
State - gas - 3 cent	-	-	68,583	68,583
State - gas - 2017	-	-	236,978	236,978
State- Modernization	-	-	5,954	5,954
State - petroleum special	24,000	24,000	24,025	25
State - Sports Bet	19,000	19,000	28,744	9,744
State - TVA in lieu of tax	160,000	160,000	159,829	(171)
State - excise tax	70,000	70,000	68,277	(1,723)
State salary supplements	26,000	26,000	68,800	42,800

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
Revenues:	Original	Final	Actual	
Intergovernmental (cont.):				
Local grants	\$ -	\$ -	\$ 97,808	\$ 97,808
ARPA	160,000	160,000	165,000	5,000
Safety grant	-	-	3,000	3,000
Park grant	1,586,800	1,586,800	372,067	(1,214,733)
STP grant	-	-	11,706	11,706
RR crossing grant	-	-	21,599	21,599
	<u>4,234,800</u>	<u>4,234,800</u>	<u>3,201,071</u>	<u>(1,033,729)</u>
Charges for services:				
College street sidewalk	-	-	960	960
Sex offender registry	1,000	1,000	1,800	800
Sport fees	19,600	19,600	7,810	(11,790)
Rent	10,000	10,000	9,861	(139)
Golf course revenue	318,400	318,400	354,622	36,222
Civic center revenue	4,000	4,000	666	(3,334)
	<u>353,000</u>	<u>353,000</u>	<u>375,719</u>	<u>22,719</u>
Fines and forfeitures:				
City court fines	165,000	165,000	201,701	36,701
Drug fines	1,500	1,500	4,791	3,291
	<u>166,500</u>	<u>166,500</u>	<u>206,492</u>	<u>39,992</u>
Other:				
Miscellaneous	51,000	476,000	477,917	1,917
Fire reimbursements	-	-	1,793	1,793
Police reimbursements	9,000	9,000	-	(9,000)
Sale of books	-	-	170	170
Mowing	-	-	2,710	2,710
Duplicating services	11,000	11,000	1,252	(9,748)
Animal control	1,000	1,000	2,735	1,735
Crafts	2,500	2,500	3,076	576
County reimbursement	15,000	15,000	36,428	21,428
Sale of equipment	-	72,500	72,570	70
Donations	60,000	60,000	53,000	(7,000)
Donations restricted	-	-	40,600	40,600
Insurance recoveries	15,000	15,000	40,093	25,093
Interest	100,000	273,000	352,366	79,366
	<u>264,500</u>	<u>935,000</u>	<u>1,084,710</u>	<u>149,710</u>
Total revenues	\$ 15,529,800	\$ 17,332,700	\$ 16,505,945	\$ (826,755)

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts		Actual	Variance with
	Original	Final		Final Budget Over (Under)
Expenditures:				
General government:				
Legislative				
Current:				
Salaries	\$ 440,390	\$ 455,390	\$ 451,884	\$ (3,506)
Payroll taxes	32,687	32,687	37,444	4,757
Employee benefits	118,481	118,481	80,189	(38,292)
Retirement	24,211	24,211	27,929	3,718
Workers compensation	700	700	1,670	970
Education and trainings	2,000	2,000	4,977	2,977
Administrative services	28,800	28,800	25,200	(3,600)
Postage	7,000	7,000	4,555	(2,445)
Dues	1,000	1,000	1,289	289
Advertising	4,000	4,000	3,023	(977)
Utilities	22,000	22,000	30,308	8,308
Telephone	55,000	55,000	57,363	2,363
Technology	1,000	26,000	21,330	(4,670)
Auditing	25,000	25,000	20,075	(4,925)
Physicals	-	-	377	377
Data processing	35,000	75,000	45,404	(29,596)
Emergency center fees	530,000	530,000	437,486	(92,514)
Code red	6,500	6,500	6,500	-
Other professional services	-	-	9,561	9,561
Vehicle maintenance	455	455	677	222
Building maintenance	5,000	15,000	13,811	(1,189)
Travel	500	500	658	158
Office supplies	10,500	10,500	11,294	794
Operating supplies	11,000	11,000	19,978	8,978
Small items of equipment	-	-	1,488	1,488
Uniforms	-	-	184	184
Gas, oil, fuel	1,000	1,000	1,796	796
Insurance	18,600	26,600	26,145	(455)
Building rent	-	-	1,125	1,125
Equipment rent	5,000	5,000	4,629	(371)
Bank charges	1,000	1,000	485	(515)
Donations	85,000	85,000	84,425	(575)
Strawberry festival	35,000	45,000	42,772	(2,228)
Flowers	-	-	100	100
Bad debt	15,000	15,000	-	(15,000)
LBD tax	7,000	7,000	6,220	(780)
TIF payments	8,500	8,500	9,849	1,349
Cable recording equipment	-	-	197	197
Tax relief	12,500	12,500	12,173	(327)
	<u>1,549,824</u>	<u>1,657,824</u>	<u>1,504,570</u>	<u>(153,254)</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	<u>Budgeted Amounts</u>			Variance with Final Budget Over (Under)
Expenditures:	<u>Original</u>	<u>Final</u>	<u>Actual</u>	
General government:				
Administrative and Mayor				
Current:				
Salaries	169,621	199,621	194,384	(5,237)
Payroll taxes	12,789	12,789	17,703	4,914
Employee benefits	59,280	59,280	74,889	15,609
Retirement	9,705	9,705	10,503	798
Workers compensation	800	800	459	(341)
Education and trainings	1,000	1,000	1,264	264
Alderman salaries	50,400	50,400	50,400	-
Printing	-	-	159	159
Dues	21,000	21,000	16,069	(4,931)
Advertising	2,000	2,000	1,950	(50)
Public relations	15,000	25,000	24,509	(491)
Telephone	2,000	2,000	2,260	260
Technology	1,000	1,000	265	(735)
Data processing	500	10,500	6,015	(4,485)
Vehicle maintenance	1,000	1,000	158	(842)
Travel	2,500	7,500	4,053	(3,447)
Office supplies	2,000	2,000	486	(1,514)
Meetings	2,000	2,000	1,091	(909)
Gas, oil, fuel	1,000	1,000	175	(825)
Insurance	1,500	1,500	415	(1,085)
Chamber events	20,000	20,000	14,567	(5,433)
Miscellaneous	5,000	5,000	2,483	(2,517)
	<u>380,095</u>	<u>435,095</u>	<u>424,257</u>	<u>(10,838)</u>
Human resources				
Current:				
Salaries	\$ 66,594	\$ 66,594	\$ 68,691	\$ 2,097
Payroll taxes	5,005	5,005	5,079	74
Employee benefits	19,987	19,987	14,911	(5,076)
Retirement	3,721	3,721	4,190	469
Workers compensation	500	500	52	(448)
Education and trainings	5,000	5,000	300	(4,700)
Employee events	5,000	15,000	11,488	(3,512)
Employee training	4,500	7,500	11,173	3,673
Dues	300	300	-	(300)
Telephone	900	900	914	14
Technology	1,000	1,000	399	(601)
Data processing	4,500	4,500	3,627	(873)
Other professional services	-	21,000	20,295	(705)
Travel	400	400	-	(400)
Office supplies	2,000	2,000	1,293	(707)
Meetings	400	400	65	(335)
Employee recognition	2,500	2,500	785	(1,715)
Insurance	1,000	1,000	2,396	1,396
	<u>123,307</u>	<u>157,307</u>	<u>145,658</u>	<u>(11,649)</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

Expenditures:	Budgeted Amounts		Actual	Variance with
	Original	Final		Final Budget Over (Under)
General government:				
Codes				
Current:				
Salaries	88,198	153,198	138,943	(14,255)
Payroll taxes	6,613	6,613	10,369	3,756
Employee benefits	15,686	15,686	20,098	4,412
Retirement	4,956	4,956	8,472	3,516
Workers compensation	2,000	2,000	2,162	162
Employee training	4,000	4,000	1,577	(2,423)
Dues	400	400	360	(40)
Contractual service	23,500	23,500	20,095	(3,405)
Telephone	1,000	1,000	1,056	56
Technology	1,000	6,000	3,866	(2,134)
Data processing	3,500	3,500	3,746	246
Vehicle expense	1,000	1,000	317	(683)
Travel	-	-	374	374
Office supplies	2,000	2,000	1,423	(577)
Operating supplies	500	500	320	(180)
Fuel	2,000	2,000	772	(1,228)
Insurance	2,000	2,000	1,323	(677)
Property maintenance	-	-	336	336
Advertising	-	-	79	79
	<u>158,353</u>	<u>228,353</u>	<u>215,688</u>	<u>(12,665)</u>
Court				
Current:				
Salaries	\$ 61,399	\$ 61,399	\$ 63,090	\$ 1,691
Payroll taxes	3,600	3,600	4,604	1,004
Employee benefits	10,300	10,300	10,882	582
Retirement	2,711	2,711	2,962	251
Workers compensation	1,100	1,100	75	(1,025)
Employee training	700	700	-	(700)
Technology	2,000	2,000	388	(1,612)
Data processing	1,000	1,000	1,372	372
Travel	2,500	2,500	799	(1,701)
Office supplies	1,000	1,000	3,454	2,454
Operating supplies	1,000	1,000	125	(875)
Insurance	1,500	1,500	721	(779)
	<u>88,810</u>	<u>88,810</u>	<u>88,472</u>	<u>(338)</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over
Expenditures:	Original	Final	Actual	(Under)
Public safety:				
Police department				
Current:				
Salaries	2,814,759	2,864,759	2,716,630	(148,129)
Payroll taxes	211,330	211,330	201,141	(10,189)
Employee benefits	527,735	527,735	567,126	39,391
Retirement	154,954	154,954	160,698	5,744
Workers compensation	95,000	95,000	84,122	(10,878)
Employee training	8,000	8,000	13,360	5,360
Dues	3,200	3,200	2,628	(572)
Postage	250	250	160	(90)
Electric	26,000	26,000	25,522	(478)
Water and sewer	1,000	1,000	744	(256)
Gas	2,000	2,000	1,988	(12)
Radio	9,000	9,000	8,947	(53)
License and fees	-	15,000	15,560	560
Physicals	3,000	8,000	6,105	(1,895)
Other professional services	-	-	30	30
Building repair and maintenance	8,000	8,000	8,027	27
Small items	-	-	882	882
Community affairs	1,000	1,000	-	(1,000)
Clothing and uniform	25,000	75,000	67,528	(7,472)
Duty equipment	10,000	85,000	85,771	771
Rental office equipment	4,000	4,000	3,562	(438)
Flowers	300	300	343	43
Telephone	40,000	40,000	40,170	170
Technology	10,000	75,000	69,656	(5,344)
Data processing	20,000	50,000	46,515	(3,485)
Vehicle expense	40,000	95,000	96,351	1,351
Travel	2,000	2,000	1,810	(190)
Office supplies	8,500	8,500	4,133	(4,367)
Operating supplies	17,000	17,000	20,025	3,025
Fuel	80,000	80,000	94,579	14,579
Insurance	82,000	82,000	86,739	4,739
Operating expense K-1	10,000	10,000	52	(9,948)
Machinery and equipment	225,000	352,900	242,399	(110,501)
Advertising	250	250	-	(250)
	<u>4,439,278</u>	<u>4,912,178</u>	<u>4,673,303</u>	<u>(238,875)</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts		Actual	Variance with
	Original	Final		Final Budget Over (Under)
Expenditures:				
General government:				
Planning				
Current:				
Salaries	\$ 160,334	\$ 160,334	\$ 144,756	\$ (15,578)
Payroll taxes	11,952	11,952	11,113	(839)
Employee benefits	30,423	30,423	42,819	12,396
Retirement	7,507	7,507	8,441	934
Workers compensation	2,100	2,100	2,198	98
Employee training	2,000	2,000	4,337	2,337
Dues	1,300	1,300	-	(1,300)
Postage	500	500	-	(500)
Meeting expense	16,000	16,000	8,964	(7,036)
Contractual services	2,000	2,000	825	(1,175)
Site plan review	10,000	35,000	42,788	7,788
Other professional services	31,500	31,500	350	(31,150)
Rental office equipment	-	-	1,989	1,989
Telephone	1,500	1,500	1,671	171
Technology	3,000	3,000	5,942	2,942
Data processing	7,000	17,000	13,144	(3,856)
Vehicle expense	100	100	-	(100)
Travel	1,500	1,500	-	(1,500)
Office supplies	2,500	2,500	784	(1,716)
Operating supplies	1,000	1,000	557	(443)
Fuel	1,000	1,000	475	(525)
Insurance	1,500	1,500	1,206	(294)
Advertising	1,000	1,000	2,155	1,155
	<u>295,716</u>	<u>330,716</u>	<u>294,514</u>	<u>(36,202)</u>
 Public safety				
Fire department				
Current:				
Salaries	\$ 1,770,922	\$ 1,845,922	\$ 1,896,803	\$ 50,881
Payroll taxes	133,877	133,877	138,646	4,769
Employee benefits	400,898	400,898	468,427	67,529
Retirement	94,330	94,330	110,476	16,146
Workers compensation	40,000	40,000	36,992	(3,008)
Employee training	8,000	28,000	7,574	(20,426)
Dues	750	750	178	(572)
Postage	100	100	7	(93)
Other utility services	600	600	710	110
Electric	36,000	36,000	33,257	(2,743)
Water and sewer	4,250	4,250	4,751	501
Gas	7,000	7,000	9,299	2,299
Radio System	4,500	4,500	4,182	(318)

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

Expenditures:	Budgeted Amounts		Actual	Variance with Final Budget Over (Under)
	Original	Final		
Public safety				
Fire department (continued)				
Current:				
Building repair and maintenance	20,000	50,000	44,987	(5,013)
Small items	5,000	15,000	6,132	(8,868)
Safety committee	5,000	5,000	3,612	(1,388)
Clothing and uniform	15,000	21,000	17,737	(3,263)
Duty equipment	15,000	15,000	18,596	3,596
Rental office equipment	1,500	1,500	1,695	195
Flowers	250	250	243	(7)
Telephone	33,000	43,000	43,900	900
Technology	1,000	11,000	7,437	(3,563)
Data processing	23,000	23,000	31,593	8,593
Vehicle expense	35,000	85,000	84,705	(295)
Travel	6,000	6,000	7,753	1,753
Office supplies	3,500	3,500	119	(3,381)
Operating supplies	15,000	15,000	15,707	707
Fuel	22,000	22,000	20,125	(1,875)
Insurance	45,000	45,000	43,058	(1,942)
Physicals	18,000	18,000	18,659	659
Fire equipment repair and maintenance	12,000	12,000	7,610	(4,390)
Advertising	500	500	-	(500)
	<u>2,776,977</u>	<u>2,987,977</u>	<u>3,084,970</u>	<u>96,993</u>
Public works				
Current:				
Salaries	\$ 445,159	\$ 460,159	\$ 415,894	\$ (44,265)
Payroll taxes	33,501	33,501	28,296	(5,205)
Employee benefits	86,851	121,851	120,033	(1,818)
Retirement	24,027	24,027	23,219	(808)
Workers compensation	27,000	27,000	10,968	(16,032)
Employee training	3,000	3,000	-	(3,000)
Fees	500	500	-	(500)
Other professional services	5,000	5,000	2,360	(2,640)
Repair and maintenance	-	-	650	650
Electric	230,000	230,000	265,898	35,898
Water and sewer	500	500	69	(431)
Gas	1,500	1,500	837	(663)
Traffic Light repair and maintenance	-	-	21,452	21,452
Building repair and maintenance	5,000	5,000	19,430	14,430
Property repair and maintenance	1,000	351,000	74,560	(276,440)
Small items	61,700	61,700	21,649	(40,051)
Sealing program	40,000	40,000	-	(40,000)
Clothing and uniform	6,500	6,500	820	(5,680)
Streets repair and maintenance	50,000	50,000	39,005	(10,995)
Sidewalk program	50,000	50,000	12,712	(37,288)
Office supplies	1,000	1,000	201	(799)

The accompanying notes are an integral part of these financial statements

**CITY OF PORTLAND, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025**

	Budgeted Amounts			Variance with Final Budget Over
Expenditures:	Original	Final	Actual	(Under)
Public works cont.				
Highway and streets				
Operating supplies	10,000	20,000	18,597	(1,403)
Signs	20,000	20,000	5,562	(14,438)
Salt	18,000	18,000	2,556	(15,444)
Inventory	5,000	5,000	(4)	(5,004)
Flowers	-	-	210	210
Telephone	6,500	6,500	9,474	2,974
Technology	5,000	5,000	6,214	1,214
Data processing	7,000	37,000	28,313	(8,687)
Vehicle expense	27,500	27,500	27,191	(309)
Street decoration	10,000	10,000	12,591	2,591
Fuel	40,000	40,000	17,787	(22,213)
Insurance	20,000	20,000	22,979	2,979
Physicals	1,350	1,350	274	(1,076)
Fire equipment repair and maintenance	10,000	35,000	36,102	1,102
Construction	-	100,000	-	(100,000)
Machinery and equipment	93,000	93,000	91,897	(1,103)
Advertising	500	500	-	(500)
	<u>1,346,088</u>	<u>1,911,088</u>	<u>1,337,796</u>	<u>(573,292)</u>
Shop				
Current:				
Salaries	\$ 97,993	\$ 107,993	\$ 101,376	\$ (6,617)
Payroll taxes	5,845	5,845	7,502	1,657
Employee benefits	18,500	18,500	26,398	7,898
Retirement	3,527	3,527	5,966	2,439
Workers compensation	2,500	2,500	2,700	200
Employee training	-	-	20	20
Electric	4,500	4,500	4,145	(355)
Water and sewer	200	200	20	(180)
Gas	1,500	1,500	873	(627)
Building repair and maintenance	1,000	21,000	12,710	(8,290)
Small items	5,000	5,000	2,442	(2,558)
Clothing and uniform	1,300	1,300	995	(305)
Operating supplies	9,000	9,000	12,162	3,162
Telephone	6,300	6,300	4,217	(2,083)
Technology	-	-	146	146
Data processing	5,000	5,000	5,372	372
Vehicle expense	750	750	2,350	1,600
Fuel	1,500	1,500	3,661	2,161
Insurance	7,500	7,500	6,679	(821)
Physicals	-	-	323	323
	<u>171,915</u>	<u>201,915</u>	<u>200,057</u>	<u>(1,858)</u>
State street aid				
Street paving	<u>480,000</u>	<u>480,000</u>	<u>355,158</u>	<u>(124,842)</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	<u>Budgeted Amounts</u>			Variance with Final Budget Over (Under)
Expenditures:	<u>Original</u>	<u>Final</u>	<u>Actual</u>	
Animal control				
Current:				
Salaries	\$ 44,197	\$ 59,197	\$ 52,397	\$ (6,800)
Payroll taxes	3,534	3,534	3,945	411
Employee benefits	10,300	10,300	11,171	871
Retirement	2,645	2,645	2,765	120
Workers compensation	1,500	1,500	2,110	610
Vet services	-	5,000	3,510	(1,490)
Fees	500	500	-	(500)
Electric	3,000	3,000	3,813	813
Gas	1,250	1,250	1,339	89
Building repair and maintenance	500	10,500	4,820	(5,680)
Clothing and uniform	250	250	1,312	1,062
Operating supplies	500	10,500	8,006	(2,494)
Telephone	3,000	3,000	2,769	(231)
Technology	1,000	1,000	80	(920)
Data processing	400	400	815	415
Vehicle expense	1,000	1,000	340	(660)
Insurance	1,500	1,500	1,401	(99)
Physicals	-	-	545	545
Machinery and equipment	-	46,000	46,095	95
	<u>75,076</u>	<u>161,076</u>	<u>147,233</u>	<u>(13,843)</u>
Grants and Projects				
Current:				
Employee training	-	-	18,250	18,250
State park grant - splash pad	2,473,600	2,473,600	215,974	(2,257,626)
Richland gym project	592,000	592,000	205,339	(386,661)
Traffic light study	-	-	14,884	14,884
Downtown Revitalization	-	-	117,001	117,001
STP grant - Kirby road paving	-	-	243	243
Downtown railroad crossings	-	-	95,050	95,050
Police building renovation	981,000	2,416,500	2,049,667	(366,833)
ATP college sidewalks	-	-	5,850	5,850
Park building maintenance	250,000	250,000	553,901	303,901
Park grant - Golf course project	700,000	938,000	868,010	(69,990)
Sidewalk	100,000	100,000	-	(100,000)
Grants - small equipment	-	-	10,093	10,093
Subdivision rules and regulation	25,000	25,000	-	(25,000)
	<u>5,121,600</u>	<u>6,795,100</u>	<u>4,154,262</u>	<u>(2,640,838)</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

Expenditures:	Budgeted Amounts		Actual	Variance with Final Budget Over (Under)
	Original	Final		
Golf course				
Current:				
Salaries	\$ 313,980	\$ 328,980	\$ 300,217	\$ (28,763)
Payroll taxes	23,781	23,781	22,256	(1,525)
Employee benefits	40,762	65,762	61,739	(4,023)
Retirement	13,642	13,642	13,574	(68)
Workers compensation	2,000	2,000	5,715	3,715
Audit Service	-	-	1,175	1,175
Other professional services	12,500	12,500	14,780	2,280
Repair and maintenance	1,500	16,500	2,932	(13,568)
Electric	8,000	8,000	9,205	1,205
Water and sewer	1,500	1,500	922	(578)
Gas	500	500	-	(500)
Concessions	6,000	6,000	10,701	4,701
Building repair and maintenance	10,000	25,000	15,718	(9,282)
Bank Charges	5,000	5,000	6,642	1,642
Small items	8,000	8,000	2,031	(5,969)
Clothing and uniform	1,500	1,500	400	(1,100)
Office supplies	500	500	215	(285)
Operating supplies	7,000	7,000	4,950	(2,050)
Salt	20,000	20,000	30,108	10,108
Inventory	20,000	40,000	38,701	(1,299)
Telephone	6,500	6,500	7,054	554
Technology	2,000	2,000	152	(1,848)
Vehicle expense	1,000	1,000	15	(985)
Fuel	6,500	6,500	8,366	1,866
Insurance	3,500	3,500	4,112	612
Fire equipment repair and maintenance	8,500	8,500	10,078	1,578
Machinery and equipment	65,000	65,000	56,782	(8,218)
Advertising	500	500	1,000	500
	<u>589,665</u>	<u>679,665</u>	<u>629,540</u>	<u>(50,125)</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

Expenditures:	Budgeted Amounts		Actual	Variance with Final Budget Over (Under)
	Original	Final		
Recreation				
Current:				
Salaries	\$ 524,007	\$ 534,007	\$ 541,740	\$ 7,733
Payroll taxes	38,154	38,154	40,037	1,883
Employee benefits	121,629	121,629	119,394	(2,235)
Retirement	25,248	25,248	27,732	2,484
Workers compensation	15,000	15,000	9,119	(5,881)
Employee training	1,000	1,000	-	(1,000)
Dues	400	400	110	(290)
Other professional services	2,400	17,400	11,745	(5,655)
Contractual services	2,500	2,500	1,494	(1,006)
Electric	55,000	55,000	68,219	13,219
Water and sewer	3,500	3,500	1,384	(2,116)
Gas	8,000	8,000	8,294	294
Public relations	1,700	1,700	3,001	1,301
Building repair and maintenance	12,000	12,000	13,672	1,672
Property repair and maintenance	40,000	40,000	18,749	(21,251)
Small items	1,500	6,500	4,940	(1,560)
Sealing program	15,000	30,000	32,238	2,238
Clothing and uniform	3,500	3,500	3,620	120
Streets repair and maintenance	500	500	-	(500)
Concessions	3,000	3,000	-	(3,000)
Office supplies	1,500	1,500	592	(908)
Operating supplies	13,000	13,000	13,180	180
Travel	-	-	20	20
Telephone	11,500	21,500	18,734	(2,766)
Technology	-	-	626	626
Data processing	8,000	8,000	10,390	2,390
Vehicle expense	4,000	4,000	3,479	(521)
Fuel	15,500	15,500	16,218	718
Insurance	25,000	25,000	27,080	2,080
Physicals	1,000	1,000	427	(573)
Fire equipment repair and maintenance	10,000	10,000	7,009	(2,991)
Rental office equipment	1,500	1,500	783	(717)
Walk of Honor monument	-	-	3,570	3,570
Machinery and equipment	19,800	19,800	-	(19,800)
Advertising	500	500	-	(500)
	<u>985,338</u>	<u>1,040,338</u>	<u>1,007,596</u>	<u>(32,742)</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts		Actual	Variance with Final Budget Over (Under)
	Original	Final		
Expenditures:				
Economic and community development				
Salaries	\$ 87,706	\$ 107,706	\$ 93,233	\$ (14,473)
Payroll taxes	6,581	6,581	7,056	475
Employee benefits	8,688	8,688	9,807	1,119
Retirement	4,923	4,923	5,750	827
Workers compensation	300	300	75	(225)
Employee training	2,000	2,000	960	(1,040)
Dues	500	500	420	(80)
Other professional services	-	40,000	25,722	(14,278)
Postage	250	250	-	(250)
Public relations	9,000	9,000	5,696	(3,304)
Travel	2,500	22,500	13,387	(9,113)
Small items	500	500	-	(500)
Office supplies	3,000	3,000	837	(2,163)
Telephone	1,400	1,400	386	(1,014)
Technology	1,500	6,500	4,465	(2,035)
Data processing	1,200	1,200	1,477	277
Insurance	4,000	4,000	1,834	(2,166)
Physicals	-	-	76	76
Advertising	250	250	150	(100)
	<u>134,298</u>	<u>219,298</u>	<u>171,331</u>	<u>(47,967)</u>
Total expenditures	<u>18,716,340</u>	<u>22,286,740</u>	<u>18,434,405</u>	<u>(3,852,335)</u>
Excess (deficiency) of revenues over (under) expenditures	(3,186,540)	(4,954,040)	(1,928,460)	3,025,580
Other financing sources (uses)				
Proceeds from issuance of debt	1,586,800	1,586,800	5,074,617	3,487,817
In lieu of tax payments - utility	360,000	360,000	459,465	99,465
Transfers out	(1,074,267)	(1,074,267)	(1,074,267)	-
Total other financing sources (uses)	<u>872,533</u>	<u>872,533</u>	<u>4,459,815</u>	<u>3,587,282</u>
Net changes in fund balances	<u>\$ (2,314,007)</u>	<u>\$ (4,081,507)</u>	2,531,355	<u>\$ 6,612,862</u>
Fund balance - beginning			10,233,283	
Restatement - change in presentation			<u>62,411</u>	
Fund balance - beginning - restated			<u>10,295,694</u>	
Fund balance - ending			<u>\$ 12,827,049</u>	

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
AIRPORT FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
	Original	Final	Actual	
Revenues				
Intergovernmental revenues				
Federal and state grants	\$ 287,965	\$ 2,292,965	\$ 2,193,632	\$ (99,333)
Contributions from other local governments	-	10,000	14,035	4,035
Charges for service				
Fuel sales revenues	200,000	200,000	215,287	15,287
Hangar rentals	93,000	93,000	99,675	6,675
Other revenue				
Rentals	4,000	4,000	4,000	-
Insurance recoveries	-	40,000	44,079	4,079
Interest	40,000	40,000	57,831	17,831
Total revenues	624,965	2,679,965	2,628,539	(51,426)
Expenditures				
Salaries	119,281	129,281	125,248	(4,033)
Payroll taxes	9,108	9,108	9,478	370
Employee insurance	8,792	8,792	10,887	2,095
Retirement	4,256	4,256	4,644	388
Workers compensation	3,000	3,000	2,805	(195)
Employee training	500	500	275	(225)
Fees	500	500	200	(300)
Public relations	1,000	1,000	458	(542)
Utilities	30,400	30,400	25,479	(4,921)
Telephone	8,000	18,000	14,045	(3,955)
Technology	1,000	1,000	631	(369)
Other professional services	-	-	305	305
Auditing	12,000	12,000	4,150	(7,850)
Data processing	2,500	2,500	2,072	(428)
Repair and maintenance- vehicles	4,000	4,000	3,337	(663)
Building maintenance	12,000	12,000	4,899	(7,101)
Landscaping	500	500	638	138
Other repair and maintenance	-	50,000	50,211	211
Operating supplies	2,000	2,000	3,177	1,177
Travel	1,000	1,000	242	(758)
Fuel purchased for resale	200,000	200,000	170,098	(29,902)
Gas and fuel	3,000	3,000	3,342	342
Insurance	16,500	16,500	24,459	7,959
Bank Charges	7,000	7,000	5,705	(1,295)
Capital outlay	261,965	2,244,965	2,027,016	(217,949)
Total expenditures	708,302	2,761,302	2,493,801	(267,501)
Excess (deficiency) of revenues over (under) expenditures	(83,337)	(81,337)	134,738	(318,927)
Other financing sources (uses):				
Operating transfers in	83,500	83,500	83,500	-
Total Other financing sources	83,500	83,500	83,500	-
Net changes in fund balance	\$ 163	\$ 2,163	218,238	\$ 216,075
Fund balance - beginning			182,760	
Fund balance - ending			\$ 400,998	

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
STATEMENT OF FIDUCIARY NET POSITION
AGENCY FUND
For the Fiscal Year Ended June 30, 2025

Assets

Cash and cash equivalents	\$ 5,500
Total assets	<u>5,500</u>

Liabilities

Accrued liabilities	2,500
Due to Industrial Development Board	<u>3,000</u>
Total liabilities	<u>5,500</u>

The accompanying notes are an integral part of these financial statements

CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2025

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Reporting Entity

The City of Portland, Tennessee (City), was incorporated May 21, 1905, by the authority of the 54th Tennessee General Assembly and was chartered under the Private Acts of 1939, Chapter No. 568 House Bill No. 1377. The City operates under a Mayor-Alderman form of government and provides the following services as authorized by its charter: public safety (police and fire), public works, planning and zoning, airport, sanitation collection and disposal, parks and recreation, water and sewer, natural gas, and general administrative services.

The City's financial statements are prepared in accordance with generally accepted accounting principles (GAAP). The Governmental Accounting Standards Board (GASB) is responsible for establishing GAAP for state and local governments through its pronouncements (Statements and Interpretations). The accounting and reporting framework and the more significant accounting policies are discussed in subsequent sections.

In determining the financial reporting entity, the City complies with the provisions of GASB Statement No. 14, "The Financial Reporting Entity," and includes all component units of which the City appointed a voting majority of the units' board; the City is either able to impose its will or a financial benefit or burden relationship exists.

The Portland Airport Authority as established in the city charter is responsible for development, construction and operation of the Portland Airport. Financial activities of the Portland Airport Authority are included in the Airport Fund of these financial statements.

Related organizations

The City's officials are also responsible for appointing the members of the Board of Portland Housing Authority (the Housing Authority) of Portland, Tennessee but the City's accountability for this organization does not extend beyond making the appointments. They do not meet the criteria in Section 2100 of GASB's Codification of Governmental Accounting and Financial Reporting Standards for inclusion as component units.

City officials are responsible for appointing members to the Industrial Development Board of the City of Portland, Tennessee, as established by authority of Chapter 53, Title 7 of the Tennessee Code Annotated. The City has a fiduciary responsibility to administer proceeds of revenue notes issued by the Portland Industrial Development Board ("IDB"). The IDB does not meet the criteria in Section 2100 of GASB's Codification of Governmental Accounting and Financial Reporting Standards for inclusion as a component unit, however it does meet the criteria for inclusion as a fiduciary fund.

In evaluating the City as a reporting entity, management has addressed all potential component units for which the City may be financially accountable and, as such, should be included within the City's financial statements. Based on the criteria of financial accountability, the City had no component units at June 30, 2025.

B. Government-wide and Fund Financial Statements

The government-wide financial statements (i.e., the statement of net position and the statement of activities) report information on all of the activities of the primary government. For the most part, the

CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS

June 30, 2025

effect of the interfund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of the given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate financial statements are provided for governmental funds and proprietary funds. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

C. Measurement Focus, Basis of Accounting, and Financial Statements Presentation

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary and fiduciary fund financial statements. Revenues are recorded when earned and expenses recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within sixty days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Property taxes, gross receipt taxes, sales taxes, grants, and interest associated with the current fiscal period are all considered to be susceptible to accrual and have been recognized as revenues of the current fiscal period. All other revenue items are considered to be measurable and available only when cash is received by the government.

The City reports the following major governmental funds:

The general fund is the government's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund. The general fund also includes the accounting for all solid waste revenues and expenditures.

The airport fund accounts for the activities of the Portland airport. It accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for airport-related activities.

CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS

June 30, 2025

The City reports the following major proprietary funds:

The water and sewer fund accounts for the activities associated with the water distribution system, the sewage treatment plant, sewage pumping stations and collection system.

The gas fund accounts for the activities of the government's gas distribution operations.

Additionally, the City reports the following fiduciary funds:

The City has an agency fund related to the Industrial Development Board of the City.

The financial statements of the City are prepared in accordance with generally accepted accounting principles. The Governmental Accounting Standards Board (GASB) is the accepted standard setting body for establishing governmental accounting and financial reporting principles. The more significant accounting policies of the City are described here with Note 1.

As a general rule the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments-in-lieu of taxes and other charges between the government's utility funds and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and delivering goods in connection with the proprietary fund's principal ongoing operations. The principal operating revenues of the electric, water and sewer, and the gas funds are charges for sales to customers for sales and service. The water and sewer fund also recognizes as operating revenue the portion of tap fees intended to recover the cost of connecting new customers to the system. Operating expenses for the enterprise funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

D. Assets, Liabilities, and Net Position or Equity

Deposits and Investments

The City's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with maturities of three months or less from the date of acquisition. State statutes authorize the City to invest in certificates of deposit, obligations of the U.S. Treasury agencies and instrumentalities, obligations guaranteed by the U.S. government or its agencies, repurchase agreements, and the state's investment pool.

Investments for the City are reported at fair value. The State Local Government Investment Pool is operated in accordance with appropriate state laws and regulations. The reported value of the pool is the same as the fair value of the pool shares.

Receivables and Payables

CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS

June 30, 2025

During the course of operations, numerous transactions occur between individual funds for goods provided or services rendered. These receivables and payables are classified as "due from other funds" or "due to other funds" on the balance sheet.

Property tax receivables are shown net of an allowance for uncollectibles. The allowance is recorded based on the past history of collections. Court fines receivable are also shown net of an allowance for uncollectibles. The allowance is recorded based on management's estimate of what portion of the outstanding receivable will be collected in the future.

The allowances for uncollectible customer accounts recorded in the proprietary funds are based on past history of uncollectible accounts and management's analysis of current accounts.

Property taxes are levied annually and mailed on October 1. The taxes are due and payable from October through February of the next year. An unperfected lien attaches by statute to property on January 1 for unpaid taxes from the prior year's levy. Taxes uncollected by March 1, the year after due may be submitted to the Chancery Court for collection. Tax liens become perfected at the time the court enters judgment.

Inventories and Prepaid Items

Inventories of the Public Works and Solid Waste departments, Airport Authority, Water & Sewer, and Gas Fund is stated at cost determined by average cost method. The cost of governmental funds inventories are recorded as expenditures when purchased. Certain payments to vendors reflecting costs applicable to future accounting periods are recorded as prepaid items in both government-wide and fund financial statements. The cost of prepaid items is recorded as expenditure/expenses when consumed rather than when purchased. The inventories and prepaid items recorded in the governmental funds do not reflect current appropriable resources and, thus, an equivalent portion of fund balance is reported as non-spendable.

Restricted Assets

The City elects to use restricted assets before unrestricted assets when the situation arises where either can be used.

Capital Assets

Capital assets, including property, plant, equipment, and infrastructure assets (e.g., roads, bridges, sidewalks, and similar items) are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost of more than \$10,000 and an estimated useful life in excess of one year. Land, construction in progress, and works of art are included in the thresholds.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed. Interest incurred during the construction phase of capital assets of business-type activities is included as part of the capitalized value of the assets constructed.

Capital assets of the City are depreciated using the straight line method over the following useful lives:

CITY OF PORTLAND, TENNESSEE
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Governmental Activities

Buildings	40 years
Improvements other than buildings	10- 40 years
Infrastructure Assets	15 - 50 years
Machinery, equipment, and rolling stock	5 - 40 years

Business-type Activities

Water and Sewer Plant	10- 50 years
Natural Gas Plant	10 -50 years
Machinery, Equipment, and rolling stock	5 - 15 years
Furniture and Fixtures	5 - 15 years

Compensated Absences

The City's policies permit employees to earn vacation on a calendar -year basis. Vacation leave but unpaid at June 30, 2025 is accrued and presented as current liabilities in the government-wide and proprietary fund financial statements. The City's policy allows employees to roll over 40 hours of vacation and the balance is transferred to sick time. The City's policies permit the accumulation, within certain limitations, of unused sick leave with vesting of unused amounts upon retirement with no monetary payouts. In the fund financial statements, governmental funds report only the compensated absence liability payable from expendable available resources. The compensated absence liability attributable to the governmental activities will be liquidated primarily by the General Fund.

Long-term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount. Bond issuance costs are expensed as incurred.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Deferred Outflows/Inflows of Resources

In addition to assets, the statement of net position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expense/expenditure) until then. The items that qualify for reporting as a deferred outflows of resources are unavailable and are disclosed on pages 11 and 18.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents acquisition of net position that applies to a future period and so will not be

CITY OF PORTLAND, TENNESSEE
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recognized as an inflow of resources (revenue) until that time. The items that qualify for reporting as a deferred inflows or resources are unavailable and are disclosed on pages 12, 14 and 19.

The City reports unavailable property taxes, unavailable court fines revenue, and public safety revenues as deferred inflows of resources in the governmental fund balance sheet. In the statement of net position, unavailable property taxes related to the subsequent tax year and held evidence funds are reported. The City reports loss on bond refunding as a deferred outflow of resources in the statement of net position as well.

Impact of other recently issued accounting pronouncements

In June of 2022, the Governmental Accounting Standards Board issued GASB Statement No. 101 related to Compensated Absences. This Statement improves accounting and financial reporting by state and local governments for Compensated Absences and is effective for fiscal years beginning after December 15, 2023. This Statement establishes standards of accounting and financial reporting for (a) compensated absences and (b) associated salary-related payments, including certain defined contribution pensions and defined contribution other postemployment benefits (OPEB). The requirements of this Statement apply to the financial statements of all state and local governments. This implementation resulted to no material adjustments in the current year.

In December of 2023, the Governmental Accounting Standards Board issued GASB Statement No. 102 related to Certain Risk Disclosures. This Statement defines a concentration as a lack of diversity related to an aspect of a significant inflow of resources or outflow of resources. A constraint is a limitation imposed on a government by an external party or by formal action of the government's highest level of decision-making authority. Concentrations and constraints may limit a government's ability to acquire resources or control spending. for fiscal years beginning after December 15, 2023. The requirements of this Statement apply to the financial statements of all state and local governments. This implementation resulted in no additional disclosures in the current year.

Net position flow assumption

Sometimes the City will fund outlays for a particular purpose from both restricted (e.g., restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted – net position and unrestricted – net position in the financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the City's policy to consider restricted – net position to have been depleted before unrestricted – net position is applied.

Fund balance

As prescribed by GASB Statement No. 54, governmental funds report fund balance in classifications based primarily on the extent to which the City is bound to honor constraints on the specific purposes for which amounts in the funds can be spent. Fund balance for governmental funds can consist of the following:

Nonspendable fund balance

This classification includes amounts that are (a) not in spendable form, or (b) legally or contractually required to be maintained intact. The "not in spendable form" criterion includes terms that are not expected to be converted to cash, for example: inventories, prepaid amounts, and long-term notes receivable.

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Restricted fund balance

This classification includes amounts that are restricted for specific purposes stipulated by external resource providers, constitutionally or through enabling legislation. Restrictions may effectively be changed or lifted with the consent of resource providers.

Committed fund balance

This classification includes amounts that can only be used for the specific purposes determined by the City's highest level of decision-making authority, (the City Council) and the highest form of authority (ordinances). Commitments may be changed or lifted only by the City taking the same formal action that imposed the constraint originally (for example: ordinance). The ordinance must be either approved or rescinded, as applicable, prior to the last day of the fiscal year for which the commitment is made. If the actual amount of the commitment is not available by June 30th, the ordinance must state the process of formula necessary to calculate the actual amount as soon as information is available.

Assigned fund balance

This classification includes amounts intended to be used by the City for specific purposes that are neither restricted nor committed. The City Council and its designee, the Finance Director, have the authority to assign amounts to be used for specific purposes. Assigned amounts also include all residual amounts in governmental funds (except for the general fund and also negative amounts) that are not classified as nonspendable, restricted, or committed. Any funds assigned must be reported to the Council at the next regular meeting and recorded in the minutes. Council has the authority to assign funds or to remove or change the assignments of the Finance Director with a simple majority vote. Upon passage of a budget ordinance where fund balance is used as a source to balance the budget, the Finance Director shall record the amount as assigned fund balance.

Unassigned fund balance

This fund balance is the residual classification for the general fund. It is also used to report negative fund balances in other governmental funds.

The City will maintain a minimum unassigned fund balance in the general fund equivalent to 20% of that fiscal year's operating expenses, excluding any capital purchases. The minimum unassigned fund balance is established to protect against cash flow shortfalls related to timing of project revenue receipts and to maintain a budget stabilization commitment. In any fiscal year, it shall take the affirmative action of five or more City Council members to approve an appropriation of funds that results in the minimum unassigned general fund balance to drop below 20%. In the event the balance drops below the minimum level, the City Council will develop a plan to replenish the fund balance to the minimum level within two years. The deficiency will be funded by reducing recurring expenditures, by increasing revenues or pursuing other funding sources, or by a combination of the two.

Fund balance flow assumptions

Sometimes the government will fund outlays for a particular purpose from both restricted and unrestricted resources (the total of committed, assigned and unassigned fund balance). In order to calculate the amounts to report as restricted, committed, assigned and unassigned fund balance in the governmental fund financial statements a flow assumption must be made about the order in which the resources are considered to be applied. It is the government's policy to consider restricted fund balance to have been depleted before using any of the components of unrestricted fund balance. Further, when the components of unrestricted fund balance can be used for the same purpose, committed fund balance is depleted first, followed by assigned fund balance. Unassigned fund balance is applied last.

CITY OF PORTLAND, TENNESSEE
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Net Position

Restricted net position are net position less related liabilities reported in the government-wide statement of net position that have limitation imposed on their use through constitutional provisions or enabling legislation or through external restrictions imposed by creditors, grantors, contributors, legislation, or the other governments.

When both restricted and unrestricted funds are available for expenditure, restricted funds should be spent first unless legal requirements disallow it.

Net Investment in Capital Assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances of debt issued to finance the acquisition, improvement, or construction of those assets.

Estimates

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows or resources related to pensions, and pension expense, information about fiduciary net position of the City's participation in the Public Employee Retirement Plan of the Tennessee Consolidated Retirement System (TCRS) and additions to/deductions from the City's fiduciary net position have been determined on the same basis as they are reported by TCRS for the Public Employee Retirement Plan. For this purpose, benefits (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms of the Public Employee Retirement Plan of TCRS. Investments are reported at their fair value.

Other Post-employment Benefit (OPEB) Plan

The net OPEB (Other Post-employment Benefit) liability for the department was measured as of June 30, 2024 pursuant to GASB 75, which allows for a measurement data no earlier than the end of the employer's prior fiscal year, consistently applied from period to period. The requirement establishes standards for calculating and reporting the net OPEB liability and OPEB expense in the financial statements of the employer. The data necessary to comply with the new standards presents challenges to reporting the net OPEB liability and OPEB expense on a current basis while still adhering to the deadlines for financial reporting to different agencies. Accordingly, with this implementation, the net OPEB liability reported at June 30, 2025 is the net OPEB liability determined at June 30, 2024 and the OPEB expense reflects the activity for fiscal year 2024.

NOTE 2 - RECONCILIATION OF GOVERNMENT-WIDE AND FUND FINANCIAL STATEMENTS

A. Explanation of Certain Differences Between the Governmental Fund Statement of Revenues, Expenditures, and Changes in Fund Balances and the Government-wide Statement of Activities

The reconciliation of the statement of revenues, expenditures, and changes in fund balances of governmental funds to the statement of activities includes reconciliation between net changes in fund balances - total governmental funds and changes in net position of governmental activities as

CITY OF PORTLAND, TENNESSEE
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reported in the government-wide statement of activities. One element of that reconciliation explains that "Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense in the current period." The details of this \$4,761,969 difference are as follows:

Capital outlay	\$ 6,798,469
Loss on disposal of asset	(7,132)
Depreciation expense	<u>(2,029,368)</u>
Net adjustment to reduce net changes in fund balance - total governmental funds to arrive at net position - governmental activities	<u>\$ 4,761,969</u>

NOTE 3 - STEWARDSHIP, COMPLIANCE, AND ACCOUNTABILITY

A. Budgetary Information

Annual budgets are adopted on a basis consistent with generally accepted accounting principles for the general fund and special revenue funds excluding the capital projects funds. The City follows these procedures in establishing the budgetary data reflected in the financial statements:

1. Prior to year end, the Director of Finance and Mayor submit to the City Council a proposed operating budget for the fiscal year commencing the following July 1st. The operating budget includes proposed expenditures and the means of financing them.
2. Public hearings are conducted to obtain taxpayer comments on the budget.
3. Prior to June 30, the budget is legally enacted through passage of an ordinance.
4. The Department Heads are authorized to transfer budgeted amounts within their departments; however, any revisions that alter the total expenditures of any department function or fund must be approved by the City Council.
5. Formal budgetary integration is employed as a management control device during the year for all funds.
6. Budgeted amounts are as originally adopted, or as amended by the City Council. Budget appropriations lapse at year end.

As an extension of the formal budgetary process, the City Council may transfer or appropriate additional funds for expenditures not anticipated at the time of budget adoption. The City's policy is to not allow expenditures to exceed budgetary amounts at the total fund expenditure level without obtaining additional appropriation approval from the Council.

NOTE 4 - DETAILED NOTES ON ALL FUNDS

A. Deposits and Investments

As of June 30, 2025, the City of Portland, Tennessee's Water and Sewer fund had \$1,104,163 invested in certificates of deposit with local financial institutions.

Interest Rate Risk

In accordance with its formal investment policy, the City manages its exposure to declines in fair values by limiting its investments to certificates of deposit with local financial institutions.

Custodial Credit Risk

CITY OF PORTLAND, TENNESSEE
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The City's policies limit deposits and investments to those instruments allowed by applicable state laws and described in Note 1. State statute required that all deposits with financial institutions must be collateralized by securities whose market value is equal to 105% of the value of uninsured deposits. The deposits must be collateralized by federal depository insurance, by the Tennessee Bank Collateral Pool, by collateral held by the City's agent in the City's name, or by the Federal Reserve Banks acting as third party agents. State statutes also authorize the City to invest in bonds, notes or treasury bills of the United States or any of its agencies, certificates of deposit at Tennessee state chartered banks and savings and loan associations and federally chartered banks and savings and loan associations, repurchase agreements utilizing obligations of the United States or its agencies as the underlying securities and the state pooled investment fund. Statutes also require that securities underlying repurchase agreements must have a market value of at least equal to the amount of funds invested in the repurchase transaction. As of June 30, 2025, all bank deposits were fully collateralized or insured.

B. Receivables

Receivables as of the year end for the government's individual major funds and nonmajor and fiduciary funds in the aggregate, including the applicable allowances for uncollectible accounts, are as follows:

	<u>General</u>	<u>Airport</u>	<u>Water & Sewer</u>	<u>Gas</u>	<u>Nonmajor and Other Funds</u>	<u>Total</u>
Receivables:						
Property taxes	\$ 7,120,078	\$ -	\$ -	\$ -	\$ -	\$ 7,120,078
Interest	-	-	8,361	-	-	8,361
Accounts	-	-	930,163	250,505	191,729	1,372,397
Grants	583,254	50,970	656,293	114,743	-	1,405,260
Intergovernmental	517,756	-	-	-	-	517,756
Other	46,457	-	-	-	-	46,457
Gross receivables	8,267,545	50,970	1,594,817	365,248	191,729	10,470,309
Less: Allowance for uncollectibles	(120,871)	-	(98,258)	(22,883)	-	(242,012)
Net total receivables	\$ 8,146,674	\$ 50,970	\$ 1,496,559	\$ 342,365	\$ 191,729	\$ 10,228,297

Governmental funds report unavailable revenue in connection with receivables for revenues that are not considered to be available to liquidate liabilities of the current period. Governmental funds also defer revenue recognition in connection with resources that have been received but not yet earned (unearned revenue). At the end of the current fiscal year, various components of unavailable revenue reported in the governmental funds were as follows:

	<u>Unavailable</u>	<u>Unearned</u>
Delinquent property taxes receivable	\$ 281,619	\$ -
2025 property tax assessment	6,717,588	-
Other revenue collected in advance	-	13,000
Grants	-	275,003
Drug fund revenue held	-	3,759
Total unavailable revenue for fund financial statements	\$ 6,999,207	\$ 291,762

C. Capital Assets

Capital asset activity for the year ended June 30, 2025, was as follows:

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NOTES TO FINANCIAL STATEMENTS

June 30, 2025

	<u>Beginning Balance</u>	<u>Additions</u>	<u>Disposals</u>	<u>Adjustments</u>	<u>Ending Balance</u>
Governmental activities:					
Capital assets, not being depreciated:					
Land	\$ 7,115,440	\$ 1,472,037	\$ -	\$ -	\$ 8,587,477
Construction in progress	1,700,138	3,004,707	-	-	4,704,845
Total capital assets, not being depreciated	<u>8,815,578</u>	<u>4,476,744</u>	<u>-</u>	<u>-</u>	<u>13,292,322</u>
Capital assets being depreciated:					
Buildings	15,505,116	1,235,360	-	-	16,740,476
Improvements other than buildings	15,305,158	41,276	-	-	15,346,434
Infrastructure	14,120,944	597,389	-	-	14,718,333
Machinery and equipment	10,355,049	447,700	(505,763)	-	10,296,986
Total capital assets being depreciated	<u>55,286,267</u>	<u>2,321,725</u>	<u>(505,763)</u>	<u>-</u>	<u>57,102,229</u>
Less accumulated depreciation for:					
Buildings	4,046,308	420,524	-	-	4,466,832
Improvements other than buildings	3,973,462	431,636	-	-	4,405,098
Infrastructure	7,159,661	330,774	-	-	7,490,435
Machinery and equipment	6,504,388	846,434	(498,631)	(2)	6,852,193
Total accumulated depreciation	<u>21,683,819</u>	<u>2,029,368</u>	<u>(498,631)</u>	<u>(2)</u>	<u>23,214,558</u>
Total capital assets being depreciated, net	33,602,448	292,357	(7,132)	2	33,887,671
Governmental activities capital assets, net	<u>\$ 42,418,026</u>	<u>\$ 4,769,101</u>	<u>\$ (7,132)</u>	<u>\$ 2</u>	<u>\$ 47,179,993</u>

CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS

June 30, 2025

	<u>Beginning Balance</u>	<u>Additions</u>	<u>Disposal</u>	<u>Adjustments</u>	<u>Ending Balance</u>
Business-type activities:					
Capital assets, not being depreciated:					
Land	\$ 1,311,399	\$ 817	\$ -	\$ -	\$ 1,312,216
Construction in progress	16,519,317	8,040,193	-	-	24,559,510
Total capital assets, not being depreciated	<u>17,830,716</u>	<u>8,041,010</u>	<u>-</u>	<u>-</u>	<u>25,871,726</u>
Capital assets being depreciated:					
Water & Sewer plant	59,179,830	3,011,240	-	-	62,191,070
Natural Gas plant	19,147,996	21,525	-	-	19,169,521
Machinery, equipment & vehicles	3,844,451	290,436	91,502	-	4,043,385
Total capital assets being depreciated	<u>82,172,277</u>	<u>3,323,201</u>	<u>91,502</u>	<u>-</u>	<u>85,403,976</u>
Less accumulated depreciation for:					
Water & Sewer plant	24,720,342	1,433,358	-	-	26,153,700
Natural Gas plant	7,233,011	471,425	-	-	7,704,436
Machinery, equipment & vehicles	2,974,072	284,537	91,502	-	3,167,107
Total accumulated depreciation	<u>34,927,425</u>	<u>2,189,320</u>	<u>91,502</u>	<u>-</u>	<u>37,025,243</u>
Total capital assets being depreciated, net	<u>47,244,852</u>	<u>1,133,881</u>	<u>-</u>	<u>-</u>	<u>48,378,733</u>
Business-type activities capital assets, net	<u>65,075,568</u>	<u>9,174,891</u>	<u>-</u>	<u>-</u>	<u>74,250,459</u>
Total capital assets, net	<u>\$ 107,493,594</u>	<u>\$ 13,943,992</u>	<u>\$ (7,132)</u>	<u>\$ 2</u>	<u>\$ 121,430,452</u>

Included in the additions for the governmental activities are \$3,098,000 in donated infrastructure from developers.

Depreciation expense was charged to functions/programs of the primary government as follows:

Governmental activities:	
General government	\$ 575,885
Public safety	557,845
Public works	641,024
Parks and recreation	<u>254,614</u>
Total depreciation expense - governmental activities	<u>\$ 2,029,368</u>
Business-type activities:	
Water and sewer	\$ 1,605,464
Gas	<u>583,856</u>
Total depreciation expense - business-type activities	<u>\$ 2,189,320</u>

D. Interfund Receivables, Payables, and Transfers

The following were the interfund receivables and payables in the current year:

CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
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<u>Receivable Fund</u>	<u>Payable Fund</u>	<u>Amount</u>
General Fund	Drug fund	\$ 500
Water & Sewer	General Fund	440
Gas Fund	General Fund	327
General Fund	Airport	109
Total		1,376
Governmental fund activities eliminated		(609)
Total government-wide		<u>\$ 767</u>

The following is a summary of transfers during the year ended June 30, 2025:

<u>Transfers From</u>	<u>Transfers To</u>	<u>Amount</u>
General Fund	Debt Service	\$ 990,767
General Fund	Airport	83,500
Water and Sewer Fund	General Fund	261,033
Gas Fund	General Fund	198,432
Total		1,533,732
Governmental fund activities eliminated		(1,074,267)
Total government-wide		<u>\$ 459,465</u>

The purposes of the transfers are noted below:

- The transfers between the proprietary funds and the general fund are for the purpose of transferring in lieu of tax payments
- The transfer from the general fund to the debt service fund was for principal and interest payments.
- The transfer from the general fund to the airport fund was for the current year budgeted operating transfer.

E. Long-term Debt

General long-term debt at June 30, 2025, is comprised of the following:

Bonds Payable

General Obligation Improvement Bonds, Series 2015, due in annual installments from \$205,000 to \$385,000 through April 2045, interest at 3.50%	\$ 5,660,000
General Obligation Bonds, Series 2020, due in annual installments from \$85,000 to \$190,000 through June 2050, interest at 2.625%- 4.00%	<u>3,405,000</u>
Total bonds payable	<u>9,065,000</u>

Notes Payable

TN Municipal Bond Fund – Loan #80 – Series 2022, due in annual installments from \$240,000 to \$387,000 through June 2043, interest at 2.85%	<u>\$ 5,540,000</u>
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CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2025

Total general long-term debt \$ 14,605,000

The aforementioned bonds and notes are secured by the full faith and credit of the City. During 2025, debt service for the aforementioned debt was provided by the City's Debt Service Fund.

Long-term debt of the proprietary funds at June 30, 2025, is comprised of the following:

Bonds Payable

Water and Sewer Revenue Refunding Bonds, Series 2016, due in annual installments from \$490,000 to \$635,000 through April 2046, interest at 3.00% \$ 10,355,000

Water and Sewer Revenue Refunding Bonds, Series 2020, due in annual installments from \$415,000 to \$865,000 through April 2050, interest at 2.63% 15,200,000

Total bonds payable 25,555,000

Notes Payable

TN Municipal Bond Fund – Series 2023 – due in annual installments from \$131,000 to \$218,000 through April 2048, interest at 4.35% 2,388,710

Other Loans Payable

State Revolving Loan Fund, 2006, payable through October 2031 interest at 1.70% 472,665

Total proprietary long-term debt \$ 28,416,375

The aforementioned bonds are not secured by the full faith and credit of the City. The aforementioned proprietary bonds are secured by revenues of the proprietary funds.

The annual requirements, by type of issue, to amortize all long-term debt outstanding except accrued annual leave and OPEB liability at June 30, 2025, are as follows:

Year Ending June 30,	Governmental Activities				Business-Type Activities					
	Bonds		Notes		Bonds		Notes/Other		Total	
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
2026	\$ 290,000	\$ 303,794	\$ 240,000	\$ 157,835	\$ 905,000	\$ 854,243	\$ 202,268	\$ 224,976	\$ 1,195,000	\$ 1,158,037
2027	305,000	293,906	247,000	151,597	920,000	833,694	208,492	218,054	1,225,000	1,127,600
2028	315,000	282,957	254,000	143,960	955,000	809,494	215,728	210,932	1,270,000	1,092,451
2029	325,000	271,606	261,000	136,724	975,000	784,044	223,988	203,465	1,300,000	1,055,650
2030	335,000	259,857	268,000	129,288	955,000	753,643	231,272	195,699	1,290,000	1,013,500
2031-2035	1,860,000	1,116,682	1,461,000	527,350	5,310,000	3,224,069	986,917	852,118	7,170,000	4,340,751
2036-2040	2,175,000	796,983	1,681,000	307,065	5,460,000	2,185,418	792,710	538,531	7,635,000	2,982,401
2041-2045	2,570,000	405,439	1,128,000	64,901	5,540,000	1,190,600	-	-	8,110,000	1,596,039
2046-2050	890,000	82,050	-	-	4,535,000	385,425	-	-	5,425,000	467,475
	<u>\$ 9,065,000</u>	<u>\$ 3,813,274</u>	<u>\$ 5,540,000</u>	<u>\$ 1,618,720</u>	<u>\$25,555,000</u>	<u>\$11,020,630</u>	<u>\$ 2,861,375</u>	<u>\$ 2,443,775</u>	<u>\$34,620,000</u>	<u>\$14,833,904</u>

Debt expense associated with the above bond issues was recorded as other assets and is being amortized on a straight-line basis over the life of the issue.

CITY OF PORTLAND, TENNESSEE
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June 30, 2025

All significant debt covenants and restrictions as set forth in the bond agreements were complied with.

Long-term liability activity for the year ended June 30, 2025, was as follows:

	<u>Beginning Balance</u>	<u>Additions</u>	<u>Retirements</u>	<u>Ending Balance</u>	<u>Due Within One Year</u>
Governmental activities:					
General obligation bonds	\$ 9,345,000	\$ -	\$ 280,000	\$ 9,065,000	\$ 290,000
Premium on bond issue	180,517	-	6,900	173,617	6,900
Bond discount	(28,760)	-	(1,100)	(27,660)	(1,100)
Notes payable	698,383	5,074,617	233,000	5,540,000	240,000
Compensated absences	362,003	142,391	-	504,394	-
	<u>\$ 10,557,143</u>	<u>\$ 5,217,008</u>	<u>\$ 518,800</u>	<u>\$ 15,255,351</u>	<u>\$ 535,800</u>
Business-type activities:					
Revenue and tax bonds	\$ 26,440,000	\$ -	\$ 885,000	\$ 25,555,000	\$ 905,000
Premium on bond issue	1,535,760	-	115,171	1,420,589	115,171
Bond discount	(4,576)	-	(388)	(4,188)	(388)
State Revolving Loan	542,733	-	70,068	472,665	71,268
Capital Outlay Note	98,400	2,337,710	47,400	2,388,710	131,000
Compensated absences	122,075	47,724	-	169,799	-
	<u>\$ 28,734,392</u>	<u>\$ 2,385,434</u>	<u>\$ 1,117,251</u>	<u>\$ 30,002,575</u>	<u>\$ 1,222,051</u>

Within the City's governmental activities, compensated absences are generally liquidated by the general fund.

The City complied with all significant debt covenants and restrictions as set forth in the bond agreements across all systems.

The bonds payable for all systems contain provisions that in the event of default, the lender can exercise one or more of the following options: (1) Make all or any of the outstanding bonds payable balance immediately due and accrued interest at highest post maturity interest rate, (2) Use any remedy allowed by state or federal law.

There are no unused lines of credit for any of the systems at June 30, 2025.

NOTE 5 - OTHER INFORMATION

A. Risk Management

City of Portland

The City is exposed to various risks of losses related to torts, theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The City decided it was more economically feasible to join a public entity risk pool as opposed to purchasing commercial insurance for certain general liability, auto liability, errors and omissions, workers' compensation, and physical damage coverage. The City joined the Tennessee Municipal League Risk Pool (Pool), which is a public entity risk pool established in 1979 by the Tennessee Municipal League. The City

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pays annual premiums to the Pool for its general, auto, and errors and omissions policies. The Pool provides the specified coverage and pays all claims from its member premiums charged or through its reinsurance policies. The City's premiums are calculated based on its prior claim history. It is the policy of the City to purchase commercial insurance for the risk of employee dishonesty and law enforcement professional liability. Settled claims have not exceeded the commercial coverage or the coverage provided by the Pool in any of the past three years.

B. Commitments

The City of Portland and Sumner County Government have adopted the Tax Increment Financing Program established by the Industrial Development Board (IDB) of Sumner County. TIF is an economic development tool that allocates all or a portion of the new, additional taxes generated by a development over a specified period of time to pay for infrastructure such as utility and road improvements related to that development.

The TIF program is primarily for the economic development projects that provide improvements in underutilized areas. This program applies only to projects initiated by a private developer and supported by tax increment property tax revenues. It is a discretionary program and does not create or vest any rights in any person or entity.

C. Contingent Liabilities

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal and state governments. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures which may be disallowed by the grantors cannot be determined at this time; although, the City's management expects such amounts, if any, to be immaterial.

The City is a defendant in various lawsuits; however, the outcome of these lawsuits is not presently determinable, although, legal counsel does not expect any possible liability to exceed the City's limits of insurance.

D. Employee Retirement Systems and Pension Plans

City of Portland

TCRS

Plan description.

Employees of Portland are provided a defined benefit pension plan through the Public Employee Retirement Plan, an agent multiple-employer pension plan administered by the TCRS. The TCRS was created by state statute under Tennessee Code Annotated Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the TCRS. The Tennessee Treasury Department, an agency in the legislative branch of state government, administers the plans of the TCRS. The TCRS issues a publicly available financial report that can be obtained at <https://treasury.tn.gov/Retirement/Boards-and-Governance/Reporting-and-Investment-Policies>.

Benefits Provided

Tennessee Code Annotated Title 8, Chapters 34-37 establishes the benefit terms and can be amended only by the Tennessee General Assembly. The chief legislative body may adopt the benefit terms permitted by statute. Members are eligible to retire with an unreduced benefit at age

CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS

June 30, 2025

60 with 5 years of service credit or after 30 years of service credit regardless of age. Benefits are determined by a formula using the member's highest five consecutive year average compensation and the member's years of service credit. Reduced benefits for early retirement are available at age 55 and vested. Members vest with five years of service credit. Service-related disability benefits are provided regardless of length of service. Five years of service is required for nonservice-related disability eligibility. The service related and nonservice-related disability benefits are determined in the same manner as a service retirement benefit but are reduced 10 percent and include projected service credits. A variety of death benefits are available under various eligibility criteria.

Member and beneficiary annuitants are entitled to automatic cost of living adjustments (COLAs) after retirement. A COLA is granted each July for annuitants retired prior to the 2nd of July of the previous year. The COLA is based on the change in the consumer price index (CPI) during the prior calendar year, capped at 3 percent, and applied to the current benefit. No COLA is granted if the change in the CPI is less than one-half percent. A one percent COLA is granted if the CPI change is between one-half percent and one percent. A member who leaves employment may withdraw their employee contributions, plus any accumulated interest.

Employees Covered by Benefit Terms

At the measurement date of June 30, 2024, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	80
Inactive employees entitled to but not yet receiving benefits	157
Active employees	<u>177</u>
	<u>414</u>

Contributions

Contributions for employees are established in the statutes governing the TCRS and may only be changed by the Tennessee General Assembly. Employees contribute 5 percent of salary. Portland makes employer contributions at the rate set by the Board of Trustees as determined by an actuarial valuation. For the year ended June 30, 2025, the employer contributions for Portland was \$664,799 based on a rate of 6.01 percent of covered payroll. By law, employer contributions are required to be paid. The TCRS may intercept Portland's state shared taxes if required employer contributions are not remitted. The employer's actuarially determined contribution (ADC) and member contributions are expected to finance the costs of benefits earned by members during the year, the cost of administration, as well as an amortized portion of any unfunded liability.

Net Pension Liability (Asset)

Portland net pension liability (asset) was measured as of June 30, 2024, and the total pension liability used to calculate net pension liability (asset) was determined by an actuarial valuation as of that date.

Actuarial Assumptions

The total pension liability as of June 30, 2024 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

CITY OF PORTLAND, TENNESSEE NOTES TO FINANCIAL STATEMENTS

June 30, 2025

Inflation	2.25 percent per year
Salary increases	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation, averaging 4.00 percent
Investment rate of return	6.75 percent net of pension plan investment expenses, including inflation
Cost-of-living adjustment	2.125 percent

Mortality rates were based on actual experience including an adjustment for some anticipated improvement.

The actuarial assumptions used in the June 30, 2024 actuarial valuation were based on the results of an actuarial experience study performed for the period July 1, 2016 through June 30, 2020. The demographic assumptions were adjusted to more closely reflect actual and expected future experience.

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees in conjunction with the June 30, 2020 actuarial experience study. A blend of future capital market projections and historical market returns was used in a building-block method in which a best-estimate of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) is developed for each major asset class. These best estimates are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation of 2.25 percent. The best-estimates of geometric real rates of return and the TCRS investment policy target asset allocation for each major asset class are summarized in the following table:

Asset Class	Long Term Expected Real Rate of Return	Target Allocation
U.S. Equity	4.88%	31%
Developed market international equity	5.37%	14%
Emerging market international equity	6.09%	4%
Private equity and strategic lending	6.57%	20%
U.S. fixed income	1.20%	20%
Real estate	4.38%	10%
Short-term securities	0.00%	1%
		100%

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees as 6.75 percent based on a blending of the three factors described above.

Discount Rate

The discount rate used to measure the total pension liability was 6.75 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current rate and that contributions from Portland will be made at the actuarially determined contribution rate pursuant to an actuarial valuation in accordance with the funding policy of the TCRS Board of Trustees and as required to be paid by state statute. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make projected future benefit payments of current active and inactive members. Therefore, the long-term expected rate of

CITY OF PORTLAND, TENNESSEE
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June 30, 2025

return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Changes in the Net Pension Liability (Asset)

	Increase (Decrease)		
	Total Pension Liability (TPL)	Plan Fiduciary Net Position	Net Pension Liability (NPL)
	(a)	(b)	(a) - (b)
Balances of 6/30/2023	\$ 27,674,162	\$ 27,213,178	\$ 460,984
Changes for the year:			
Service Cost	906,920	-	906,920
Interest	1,884,491	-	1,884,491
Difference in expected & actual experience	(150,054)	-	(150,054)
Contributions - Employer	-	565,063	(565,063)
Contributions - Employee	-	510,782	(510,782)
Net Investment Income	-	2,643,556	(2,643,556)
Benefit payments	(1,325,382)	(1,325,382)	-
Change of assumptions	-	-	-
Administrative expense	-	(18,660)	18,660
Net Changes	1,315,975	2,375,359	(1,059,384)
Balances as of 6/30/24	28,990,137	29,588,537	(598,400)

Sensitivity of the Net Pension Liability (Asset) to Changes in the Discount Rate

The following presents the net pension liability (asset) of Portland calculated using the discount rate of 6.75 percent, as well as what the net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (5.75 percent) or 1-percentage-point higher (7.75 percent) than the current rate:

	1% Decrease (5.75%)	Current Discount Rate (6.75%)	1% Increase (7.75%)
Portland net pension liability (asset)	3,813,876	(598,400)	(4,153,437)

Pension Expense (Negative Pension Expense) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Pension Expense (Negative Pension Expense)

For the year ended June 30, 2025, Portland recognized pension expense of \$662,921 related to this plan.

Deferred Outflows of Resources and Deferred Inflows of Resources

For the year ended June 30, 2025, Portland reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
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	Deferred Outflow of Resources	Deferred Inflow of Resources
Differences between expected and actual experience	\$ 839,491	\$ 161,900
Net difference between projected and actual earnings on pension plan investments	-	316,024
Changes in Assumptions	871,521	-
Contributions subsequent to the measurement date of June 30, 2024	<u>664,799</u>	<u>-</u>
Total	<u>\$ 2,375,811</u>	<u>\$ 477,924</u>

The amount shown above for "Contributions subsequent to the measurement date of June 30, 2024," will be recognized as a reduction (increase) to net pension liability (asset) in the subsequent fiscal period.

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30:	
2026	\$ 84,577
2027	913,382
2028	349,504
2029	(128,041)
2030	35,103
Thereafter	(21,437)

In the table shown above, positive amounts will increase pension expense while negative amounts will decrease pension expense.

Payable to the Pension Plan

At June 30, 2025, the City of Portland reported a payable of \$0 for the outstanding amount of contributions to the pension plan required at the year ended June 30, 2025.

Local Government OPEB Plan (LGOP)

Plan description

Employees of the City of Portland, who were hire prior to July 1, 2015, are provided with pre-65 retiree health insurance benefits through the closed Local Government OPEB Plan (LGOP) administered by the Tennessee Department of Finance and Administration. This plan is considered to be a multiple-employer defined benefit plan that is used to provide postemployment benefits other than pensions (OPEB). However, for accounting purposes, this plan will be treated as a single-employer plan. All eligible pre-65 retired employees and disability participants of local governments, who choose coverage, participate in LGOP. This plan is closed to the employees of all participating employers that were hired on or after July 1, 2015.

Benefits provided

CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2025

The City of Portland offers the LGOP to provide health insurance coverage to eligible pre-65 retirees and disabled participants of local governments. Insurance coverage is the only postemployment benefit provided to retirees. An insurance committee created in accordance with TCA 8-24-701 establishes and amends the benefit terms of the LGOP. All members have the option of choosing between the premier preferred provider organization (PPO) standard PPO, limited PPO or the wellness health savings consumer-driven health plan (CDHP) for healthcare benefits. Retired plan members, of the LGOP, receives the same plan benefits as active employees, at a blended premium rate that considers the cost of all participants. This creates an implicit subsidy for retirees. Participating employers determine their own policy related to direct subsidies provided for the retiree premiums. The LGOP is funded on a pay-as-you-go basis and there are no assets accumulating in a trust that meets the criteria of paragraph 4 of GASB Statement No. 75.

Plan membership

Plan membership	
At June 30, 2024 the plan membership consisted of:	
Inactive employees receiving benefits	8
Inactive employees entitled to but no yet receiving benefits	-
Active employees	165
Total	<u>173</u>

An insurance committee, created in accordance with TCA 8-27-701, establishes the required payments to the LGOP by member employers and employees through the blended premiums established for active and retired employees. Claims liabilities of the plan are periodically computed using actuarial and statistical techniques to establish premium rates. For the fiscal year ended June 30, 2025 the city of Portland paid \$69,483 to the LGOP for OPEB benefits as they came due.

Total OPEB Liability

Actuarial assumptions

The total OPEB liability in the June 30, 2025 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.25%
Salary increases	Graded salary ranges from 3.44 to 8.72 percent based on age, including inflation, averaging 4 percent
Health care cost trend rate	10.68% for pre-65 in 2024, decreasing annually over a 13 year period to an ultimate rate of 4.50%. 13.44% for post-65 in 2024, decreasing annually over and 12 year period to an ultimate rate of 4.50%.
Retiree's share of benefit-related costs	Members are required to make monthly contributions in order to maintain their coverage. For the purpose of this Valuation a weighted average has been used with weights derived from the current distribution of members among plans offered.

Discount Rate

The discount rate used to measure the OPEB liability was 3.93%. This rate reflects the interest rate derived from yields on 20 -year tax exempt general obligation municipal bonds, prevailing on the measurement date, with an average rating of AA/A as shown on the Bond Buyer 20-year Municipal GO AA index.

CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2025

Changes in the Total OPEB Liability

	<u>Total OPEB Liability</u>
Balances of 6/30/24	\$ 1,508,271
Changes for the year:	
Service Cost	139,676
Interest	58,233
Difference in expected & actual experience	(96,234)
Contributions - Employer	-
Expected Investment Income	-
Changes in Benefit Terms	-
Changes in Assumptions	46,872
Benefit payments	(106,016)
Administrative expense	-
Net Changes	<u>42,531</u>
Balances as of 6/30/25	<u>\$ 1,550,802</u>

Changes of assumptions – The discount rate was changed from 3.65% as of the beginning of the measurement period to 3.93% as of June 30, 2024. This change in assumption increased the total OPEB liability. Other changes in assumptions include adjustments to initial per capita costs and health trend rates.

Sensitivity of total OPEB liability to changes in the discount rate - The following presents the total OPEB liability related to the plan, as well as what the total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.93%) or 1-percentage-point higher (4.93%) than the current discount rate.

	<u>1% Decrease</u>	<u>Current Rate</u>	<u>1% Increase</u>
Interest Rate	2.93%	3.93%	4.93%
Net OPEB Liability (Asset)	\$ 1,695,321	\$ 1,550,802	\$ 1,418,465

Sensitivity of total OPEB liability to changes in the healthcare cost trend rate - The following presents the total OPEB liability related to the LGOP, as well as what the total OPEB liability would be if it were calculated using a healthcare cost trend rate that is 1-percentage-point lower or 1-percentage-point higher than the current healthcare cost trend rate.

	<u>1% Decrease (9.68%/12.44% decreasing to 3.50%)</u>	<u>Current Rate (10.68%/13.44 % decreasing to 4.50%)</u>	<u>(11.68%/14.4 4% decreasing to 5.50%)</u>
Total OPEB liability	\$ 1,369,550	\$ 1,550,802	\$ 1,769,303

CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS

June 30, 2025

OPEB expense – For the fiscal year ended June 30, 2025, the City recognized OPEB expense of \$78,231.

Deferred outflows of resources and deferred inflows of resources - For the fiscal year ended June, 30, 2025, the City reported the following deferred outflows of resources and deferred inflows of resources related to OPEB benefits in the plan:

	Deferred Outflow of Resources	Deferred Inflow of Resources
Differences between expected and actual experience	\$ 108,602	\$ 287,907
Change of assumptions	246,191	434,127
Employer payments made subsequent to the measurement date	69,483	-
Total	<u>\$ 424,276</u>	<u>\$ 722,034</u>

The amounts shown above for “Employer payments subsequent to the measurement date” will be recognized as a reduction to total OPEB liability in the following measurement period. Amounts reported as deferred outflows of resources and deferred inflows of resources will be recognized in OPEB expense as follows:

Year ended June 30:	
2026	\$ (119,678)
2027	(96,332)
2028	(42,402)
2029	(56,911)
2030	(40,311)
Thereafter	(11,607)

Tennessee Plan (TNP)

Plan Description

Employees of City of Portland, Tennessee who were hired prior to July 1, 2015, are provided with post-65 retiree health insurance benefits through the closed Tennessee Plan (TNP) administered by the Tennessee Department of Finance and Administration. This plan is considered to be multiple-employer defined benefit plan that is used to provide postemployment benefits other than pensions (OPEB). However, for accounting purposes, this plan will be treated as a single-employer plan. All eligible post-65 retired teachers and disability participants of local education agencies, who choose coverage, participate in the TNP. The TNP also includes eligible retirees of the state, certain component units of the state, and certain local governmental entities. This plan is closed to the employees of all participating employers that were hired on or after July 1, 2015.

Benefits Provided

The state offers the TNP to help fill most of the coverage gaps created by Medicare for eligible post-65 retired teachers and disabled participants of local education agencies. Insurance coverage is the only postemployment benefit provided to retirees. The TNP does not include pharmacy. In accordance with TCA 8-27-209, benefits of the TNP are established and amended by cooperation of insurance committees created by TCA 8-27-201, 8-27-301 and 8-27-701. Retirees and disabled employees of the state, component units, local education agencies, and certain local governments who have reached the age of 65, are Medicare eligible and also receives a benefit from the Tennessee Consolidated Retirement System may participate in this plan. All plan members receive the same plan benefits at the same premium rates. Participating employers determine their own

CITY OF PORTLAND, TENNESSEE
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June 30, 2025

policy related to subsidizing the retiree premiums. The TNP is funded on a pay-as-you-go basis and there are no assets accumulating in a trust that meets the criteria of paragraph 4 of GASB Statement No. 75.

Employees Covered by Benefit Terms

At June 30, 2024, the following employees of City of Portland, Tennessee was covered by the benefit terms of the TNP:

Inactive employees currently receiving benefit payments	3
Inactive employees entitled to but not yet receiving benefit payments	15
Active employees	67
	85

In accordance with TCA 8-27-209, the state insurance committees established by TCAs 8-27-201, 8-27-301 and 8-27-701 determine the required payments to the plan by member employers and employees. Claims liabilities of the plan are periodically computed using actuarial and statistical techniques to establish premium rates. Administrative costs are allocated to plan participants. Employers contribute towards employee costs based on their own developed policies. During the current reporting period, the City of Portland, Tennessee paid \$2,141 to the TNP for OPEB benefits.

Total OPEB Liability

Actuarial assumptions

The collective total OPEB liability in the June 30, 2025 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.25 percent
Salary increases	Graded salary ranges from 3.44 to 8.72 percent based on age, including inflation, averaging 4.00 percent
Healthcare cost trend rate	The premium subsidies provided to retirees in the Tennessee Plan are assumed to remain unchanged for the entire projection, therefore trend rates are not applicable.

Unless noted otherwise, the actuarial demographic assumptions used in the June 30, 2024, valuations were the same as those employed in the July 1, 2020 Pension Actuarial Valuation of the Tennessee Consolidated Retirement System (TCRS). These assumptions were developed by TCRS based on the results of an actuarial experience study for the period July 1, 2016 - June 30, 2020. The demographic assumptions were adjusted to more closely reflect actual and expected future experience. Mortality tables are used to measure the probabilities of participants dying before and after retirement. The mortality rates employed in this valuation are taken from the headcount-weighted below median teachers PUB-2010 Healthy Participant Mortality Table for Annuitants for non-disabled post-retirement mortality, with mortality improvement projected to all future years using Scale MP-2021. Post-retirement tables are adjusted with a 19% load for males and a 18% load for females. Mortality rates for impaired lives are the same as those used by TCRS and are taken from a gender distinct table published in the IRS Ruling 96-7 for disabled lives with a 10% load with mortality improvement projected to all future years using Scale MP-2021.

CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2025

Discount Rate

The discount rate used to measure the total OPEB liability was 3.93 percent. This rate reflects the interest rate derived from yields on 20-year, tax-exempt general obligation municipal bonds, prevailing on the measurement date, with an average rating of AA/Aa as shown on the Bond Buyer 20-Year Municipal GO AA index.

Changes in Collective Total OPEB Liability

	Total OPEB liability
Balance at June 30, 2024	\$ 117,585
Changes for the year	
Service cost	3,079
Interest	4,363
Changes of benefit terms	-
Differences between expected and actual experience	(18,563)
Changes of assumptions	(4,179)
Benefit payments	<u>(2,269)</u>
Net change	(17,569)
Balance at June 30, 2025	<u>\$ 100,016</u>

Changes in Assumptions

The discount rate was changed from 3.65% as of the beginning of the measurement period to 3.93% as of June 30, 2024. This change in assumption increased the total OPEB liability.

Sensitivity of Proportionate Share of the Collective Total OPEB Liability to Changes in the Discount Rate

The following presents the proportionate share of the collective total OPEB liability related to the TNP, as well as what the proportionate share of the collective total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower or 1-percentage-point higher than the current discount rate:

	1% Decrease (2.93%)	Discount Rate (3.93%)	1% Increase (4.93%)
Total OPEB liability	\$ 116,050	\$ 100,016	\$ 86,801

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

OPEB expense

For the fiscal year ended June 30, 2025, the City of Portland, Tennessee has recorded a negative OPEB expense of \$600.

CITY OF PORTLAND, TENNESSEE
NOTES TO FINANCIAL STATEMENTS

June 30, 2025

Deferred Outflows of Resources and Deferred Inflows of Resources

For the fiscal year ended June 30, 2025, City of Portland, Tennessee reported deferred outflows of resources and deferred inflows of resources related to OPEB benefits in the TNP from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between expected and actual experience	\$ 31,704	\$ 28,290
Changes in assumptions	37	53,886
Employer payments subsequent to the the measurement date	<u>2,141</u>	<u>-</u>
Total	<u>\$ 33,882</u>	<u>\$ 82,176</u>

The amounts shown above for "Employer payments subsequent to the measurement date" will be included as a reduction to total OPEB liability in the following measurement period.

Amounts reported as deferred outflows of resources and deferred inflows of resources will be recognized in OPEB expense as follows:

<u>Year Ended June 30:</u>	
2026	\$ (8,109)
2027	(7,125)
2028	(7,133)
2029	(7,348)
2030	(7,348)
Thereafter	(13,372)

In the table above, positive amounts will increase OPEB expense while negative amounts will decrease OPEB expense.

NOTE 6 – CHANGE IN PRESENTATION

The City's golf course fund's activity is now being recorded in the general fund. This caused a change in presentation of \$62,411 in the current year.

	Reporting Units Affected by Restatements of Beginning Balances	
	<u>General Fund</u>	<u>Nonmajor Governmental</u>
6/30/2024, as previously reported	\$ 10,233,283	\$ 2,063,104
Change in reporting entity (combination of funds)	<u>62,411</u>	<u>(62,411)</u>
6/30/2024, as restated	<u>\$ 10,295,694</u>	<u>\$ 2,000,693</u>

NOTE 7 – SUBSEQUENT EVENTS

Management has evaluated subsequent events through March 25, 2026, the date in which the financial statements were available to be issued.

REQUIRED SUPPLEMENTARY INFORMATION

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF CHANGES IN THE PLAN'S NET PENSION LIABILITY
AND RELATED RATIOS - PUBLIC EMPLOYEE PENSION PLAN OF TCRS
June 30

	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Total Pension Liability										
Service Cost	\$ 906,920	\$ 769,409	\$ 714,481	\$ 578,661	\$ 606,437	\$ 552,366	\$ 573,359	\$ 578,391	\$ 423,986	\$ 409,779
Interest	1,884,491	1,758,067	1,616,736	1,467,352	1,385,853	1,306,593	1,217,498	1,208,654	1,128,066	1,040,811
Changes of benefit terms	-	-	-	-	-	-	-	-	-	-
Differences between expected & actual experience	(150,054)	395,770	742,498	432,951	(46,755)	(139,442)	73,950	(816,907)	36,093	384,722
Changes of assumptions	-	-	-	2,033,545	-	-	-	340,869	-	-
Benefit payments / refunds	(1,325,382)	(1,050,215)	(1,019,506)	(852,540)	(734,715)	(625,990)	(603,825)	(652,758)	(683,337)	(688,881)
Net change in Total Pension Liability	1,315,975	1,873,031	2,054,209	3,659,969	1,210,820	1,093,527	1,260,982	658,249	904,808	1,146,431
Total Pension Liability - beginning	27,674,162	25,801,131	23,746,922	20,086,953	18,876,133	17,782,606	16,521,624	15,863,375	14,958,567	13,812,136
Total Pension Liability - ending (a)	\$ 28,990,137	\$ 27,674,162	\$ 25,801,131	\$ 23,746,922	\$ 20,086,953	\$ 18,876,133	\$ 17,782,606	\$ 16,521,624	\$ 15,863,375	\$ 14,958,567
Plan Fiduciary Net Position										
Contributions - Employer	\$ 565,063	\$ 434,670	\$ 66,963	\$ 114,007	\$ 216,616	\$ 331,739	\$ 477,517	\$ 631,603	\$ 587,552	\$ 526,805
Contributions - Member	510,782	452,379	424,442	381,935	361,678	383,706	368,786	297,087	276,673	248,121
Net investment income	2,643,556	1,719,626	(1,031,965)	5,625,393	1,043,260	1,460,793	1,491,884	1,804,246	405,013	452,471
Benefit payments / refunds	(1,325,382)	(1,050,215)	(1,019,506)	(852,540)	(734,715)	(625,990)	(603,825)	(652,758)	(683,337)	(688,881)
Administrative expense	(18,660)	(14,827)	(15,127)	(13,667)	(13,071)	(12,491)	(12,580)	(11,315)	(9,659)	(5,977)
Other	-	-	-	-	-	-	-	-	-	-
Net change in fiduciary net position	2,375,359	1,541,633	(1,575,193)	5,255,128	873,768	1,537,757	1,721,782	2,068,863	576,242	532,539
Plan fiduciary net position - beginning	27,213,178	25,671,545	27,246,738	21,991,610	21,117,842	19,580,085	17,858,303	15,789,440	15,213,198	14,680,659
Plan fiduciary net position - ending (b)	\$ 29,588,537	\$ 27,213,178	\$ 25,671,545	\$ 27,246,738	\$ 21,991,610	\$ 21,117,842	\$ 19,580,085	\$ 17,858,303	\$ 15,789,440	\$ 15,213,198
Plan's net pension liability - ending (a) - (b)	\$ (598,400)	\$ 460,984	\$ 129,586	\$ (3,499,816)	\$ (1,904,657)	\$ (2,241,709)	\$ (1,797,479)	\$ (1,336,679)	\$ 73,935	\$ (254,631)
Plan's fiduciary net position as a percentage of the total pension liability	102.06%	98.33%	99.50%	114.74%	109.48%	111.88%	110.11%	108.09%	99.53%	101.70%
Covered-employee payroll	\$ 9,913,387	\$ 8,916,076	\$ 8,370,388	\$ 7,600,458	\$ 7,220,545	\$ 6,634,785	\$ 6,366,885	\$ 5,941,704	\$ 5,527,302	\$ 4,955,832
Plan's net pension liability as a percentage of covered-employee payroll	-6.04%	5.17%	1.55%	-46.05%	-26.38%	-33.79%	-28.23%	-22.50%	1.34%	-5.14%

GASB requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be represented retroactively prior to the implementation data. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF CONTRIBUTIONS
LAST TEN FISCAL YEARS
TCRS PENSION PLAN
June 30, 2025

	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Actuarially determined contributions	\$ 664,799	\$ 565,063	\$ 434,670	\$ 66,126	\$ 111,727	\$ 177,625	\$ 192,409	\$ 306,247	\$ 620,314	\$ 587,552
Contributions in relation to actuarially determined contribution	664,799	565,063	434,670	66,963	114,007	216,616	331,739	477,517	631,603	577,156
Contribution deficiency (excess)	-	-	-	(837)	(2,280)	(38,991)	(139,330)	(171,270)	(11,289)	10,396
Covered-employee payroll	11,061,546	9,913,387	8,916,076	8,370,388	7,600,458	7,220,545	6,634,785	6,366,885	5,941,704	5,527,302
Contributions as a percentage of covered payroll	6.01%	5.70%	4.88%	0.80%	1.50%	3.00%	5.00%	7.50%	10.63%	10.44%

GASB requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be represented retroactively prior to the implementation data. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

Notes to Schedule

Actuarially determined contribution rates for fiscal year 2025 were calculated based on the June 30, 2023 actuarial valuation.

Actuarial Methods & Assumptions

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry Age Normal
Amortization method	Level dollar, closed (not to exceed 20 years)
Remaining amortization period	Varies by Year
Asset valuation method	10-year smoothed within a 20 percent corridor to market value
Inflation	2.25%
Salary increases	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation, averaging 4.00 percent
Investment rate of return	6.75%, net of investment expense, including inflation
Retirement age	Pattern of retirement determined by experience study
Mortality	Customized table based on actual experience including an adjustment for some anticipated improvement
Cost of Living Adjustments	2.125%

Changes of assumptions - In 2021, the following assumptions were changed: decreased inflation rate from 2.50% to 2.25%; decreased the investment rate of return from 7.25% to 6.75%; decreased the cost-of-living adjustment from 2.25% to 2.125%; and modified mortality assumptions. In 2017, the following assumptions were changed: decreased inflation rate from 3.00% to 2.50%; decreased the investment rate of return from 7.50% to 7.25%; decreased the cost-of-living adjustment from 2.50% to 2.25%; decreased salary growth graded ranges from an average of 4.25% to an average of 4.00%; and modified mortality assumptions.

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF CHANGES IN THE CITY'S TOTAL OPEB LIABILITY (ASSET)
AND RELATED RATIOS - LGOP OPEB PLAN
June 30, 2025

Total OPEB Liability	2025	2024	2023	2022	2021	2020	2019	2018
Service Cost	\$ 139,676	\$ 106,079	\$ 145,312	\$ 157,085	\$ 38,114	\$ 152,342	\$ 141,202	\$ 149,187
Interest	58,233	47,090	36,340	42,311	17,636	82,955	85,728	70,860
Changes of benefit terms			(4,650)	30,040	1,000,152	(1,365,252)		
Differences between expected & actual experience	(96,234)	40,151	(146,020)	62,631	112,672	(475,369)	3,512	
Changes of assumptions	46,872	163,455	(213,937)	(407,197)	191,539	19,405	(225,062)	(106,826)
Benefit payments / refunds	(106,016)	(144,031)	(116,621)	(93,859)	(40,341)	(136,753)	(130,554)	(117,143)
Net change in Total OPEB Liability	42,531	212,744	(299,576)	(208,989)	1,319,772	(1,722,672)	(125,174)	(3,922)
Total OPEB Liability - beginning	1,508,271	1,295,527	1,595,103	1,804,092	484,320	2,206,992	2,332,166	2,336,088
Total OPEB Liability - ending (a)	\$ 1,550,802	\$ 1,508,271	\$ 1,295,527	\$ 1,595,103	\$ 1,804,092	\$ 484,320	\$ 2,206,992	\$ 2,332,166

Covered-employee payroll	\$ 11,061,546	\$ 9,941,045	\$ 8,929,601	\$ 8,370,388	\$ 7,793,956	\$ 7,705,243	\$ 7,688,246	\$ 6,901,160
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Plan's net pension liability as a percentage of covered-employee payroll	14.02%	15.17%	14.51%	19.06%	23.15%	6.29%	28.71%	33.79%
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There are no assets accumulating in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75, related to OPEB plan.

The amounts reported for each fiscal year were determined as of the prior fiscal year-end.

This schedule is intended to display ten years of information. Additional years will be displayed as they become available.

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF CHANGES IN THE TOTAL OPEB LIABILITY AND RELATED RATIOS - TNP OPEB PLAN
June 30, 2025

	2025	2024	2023	2022	2021	2020	2019	2018
Total OPEB liability								
Service cost	\$ 3,079	\$ 3,372	\$ 5,799	\$ 9,089	\$ -	\$ 3,932	\$ 5,095	\$ 6,603
Interest	4,363	4,642	3,249	3,175	400	5,279	4,844	3,727
Changes of benefit terms	-	-	-	-	94,452	(144,994)	-	-
Differences between expected and actual experience	(18,563)	(15,487)	5,318	41,666	1,689	5,776	3,156	-
Changes of assumptions or other inputs	(4,179)	(1,575)	(29,536)	(42,616)	27,504	127	(1,399)	(15,184)
Benefit payments	(2,269)	(2,241)	(1,175)	(1,307)	(447)	(800)	(738)	(15,300)
Net change in total OPEB liability	(17,569)	(11,289)	(16,345)	10,007	123,598	(130,680)	10,958	(20,154)
Total OPEB liability - beginning	117,585	128,874	145,219	135,212	11,614	142,294	131,336	151,490
Total OPEB liability - ending	\$ 100,016	\$ 117,585	\$ 128,874	\$ 145,219	\$ 135,212	\$ 11,614	\$ 142,294	\$ 131,336
Plan Fiduciary Net Position								
Covered Employee Payroll	11,061,546	9,941,045	8,929,601	8,370,388	7,793,956	7,705,243	7,688,246	6,901,160
Net OPEB Liability as a percentage of Covered Employee Payroll	0.90%	1.18%	1.44%	1.73%	1.73%	0.15%	1.85%	1.90%

There are no assets accumulating in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75, related to OPEB plan.

See independent auditor's report.

SUPPLEMENTARY INFORMATION SECTION

CITY OF PORTLAND, TENNESSEE
COMBINING BALANCE SHEET
OTHER GOVERNMENTAL FUNDS
June 30, 2025

	Special Revenue Funds						Totals
	Solid Waste	E Citation	Drug	Impact Fees	Stormwater	Debt Services	
Assets							
Cash and cash equivalents	\$ 1,084,209	\$ 12,675	\$ 90,164	\$ 928,676	\$ 590,788	\$ 155,241	\$ 2,861,753
Accounts receivable net of uncollectible	124,133	-	-	-	67,596	-	191,729
Prepaid expenses	2,486	-	-	-	1,053	-	3,539
Inventory	6,361	-	-	-	-	-	6,361
Total assets	\$ 1,217,189	\$ 12,675	\$ 90,164	\$ 928,676	\$ 659,437	\$ 155,241	\$ 3,063,382
Liabilities, deferred inflows of resources, and fund balances							
Liabilities							
Accounts payable	\$ 53,858	\$ -	\$ -	\$ 1,385	\$ 37,726	\$ -	\$ 92,969
Accrued liabilities	1,488	-	-	-	2,271	-	3,759
Due to other funds	-	-	500	-	-	-	500
Unearned revenue	-	-	21,537	-	-	-	21,537
Total liabilities	55,346	-	22,037	1,385	39,997	-	118,765
Fund balances							
Nonspendable:							
Prepays	2,486	-	-	-	1,053	-	3,539
Inventory	6,361	-	-	-	-	-	6,361
Restricted:							
Solid Waste	1,152,996	-	-	-	-	-	1,152,996
E-Citation	-	12,675	-	-	-	-	12,675
Drug Fund	-	-	68,127	-	-	-	68,127
Impact Fees	-	-	-	927,291	-	-	927,291
Stormwater	-	-	-	-	618,387	-	618,387
Assigned for:							
Debt Service	-	-	-	-	-	155,241	155,241
Total fund balances	1,161,843	12,675	68,127	927,291	619,440	155,241	2,944,617
Total liabilities, deferred inflows of resources, and fund balances	\$ 1,217,189	\$ 12,675	\$ 90,164	\$ 928,676	\$ 659,437	\$ 155,241	\$ 3,063,382

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
OTHER GOVERNMENTAL FUNDS
For the Fiscal Year Ended June 30, 2025

	Special Revenue Funds						Debt Service	Totals
	Solid Waste	E- Citation	Drug	Impact Fees	Golf Course	Stormwater		
Revenues								
Charges for services	\$ 1,501,984	\$ -	\$ -	\$ -	\$ -	\$ 1,165,735	\$ -	\$ 2,667,719
Fines and forfeitures		3,760	8,572	-	-	-	-	12,332
Donations	-	-	29	-	-	-	-	29
Sale of carts	11,270					-		11,270
Fees	-	-	-	280,313	-	-	-	280,313
Other	155,237	5	12,000	25,069	-	101,311	281	293,903
Total revenues	1,668,491	3,765	20,601	305,382	-	1,267,046	281	3,265,566
Expenditures								
Current								
Public safety		-	12,769	17,361	-	-	-	30,130
Public works	1,222,467	-	-	-	-	957,854	-	2,180,321
Capital outlay	-	-	-	49,697	-	157,818	-	207,515
Debt service:								
Principal payments	-	-	-	-	-	-	513,000	513,000
Interest payments	-	-	-	-	-	-	381,443	381,443
Total expenditures	1,222,467	-	12,769	67,058	-	1,115,672	894,443	3,312,409
Excess (deficiency) of revenues over (under) expenditures	446,024	3,765	7,832	238,324	-	151,374	(894,162)	(46,843)
Other financing sources (uses)								
Transfers from other funds	-	-	-	-	-	-	990,767	990,767
Total other financing sources (uses)	-	-	-	-	-	-	990,767	990,767
Net changes in fund balances	446,024	3,765	7,832	238,324	-	151,374	96,605	943,924
Fund balance - beginning	715,819	8,910	60,295	688,967	62,411	468,066	58,636	2,063,104
Restatement - Change in presentation	-	-	-	-	(62,411)	-	-	(62,411)
Fund balance - beginning - restated	715,819	8,910	60,295	688,967	-	468,066	58,636	2,000,693
Fund balance - ending	\$ 1,161,843	\$ 12,675	\$ 68,127	\$ 927,291	\$ -	\$ 619,440	\$ 155,241	\$ 2,944,617

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
SOLID WASTE
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
	Original	Final	Actual	
Revenues				
Charges for services				
Collection Charges	\$ 1,370,603	\$ 1,370,603	\$ 1,501,984	\$ 131,381
Other:				
Sale of carts	15,000	15,000	11,270	(3,730)
Miscellaneous income	-	130,000	133,538	3,538
Interest income	-	15,000	21,699	6,699
Total revenues	<u>1,385,603</u>	<u>1,530,603</u>	<u>1,668,491</u>	<u>137,888</u>
Expenditures				
Salaries	381,140	381,140	353,176	(27,964)
Payroll taxes	36,013	36,013	25,611	(10,402)
Employee insurance	121,795	121,795	106,284	(15,511)
Retirement	20,396	20,396	20,235	(161)
Workers compensation	15,000	15,000	11,610	(3,390)
Postage	20,350	20,350	7,387	(12,963)
Utilities	6,500	6,500	4,125	(2,375)
Telephone	8,800	8,800	9,529	729
Technology	1,500	1,500	2,102	602
Physicals	1,000	1,000	755	(245)
Auditing	1,000	1,000	2,075	1,075
Data processing	3,000	3,000	6,512	3,512
Repair and maintenance- vehicles	60,000	160,000	103,749	(56,251)
Building maintenance	10,000	10,000	19,863	9,863
Landfill service	434,000	434,000	445,742	11,742
Office supplies	1,500	1,500	770	(730)
Operating supplies	5,000	5,000	2,319	(2,681)
Small items of equipment	-	10,000	7,514	(2,486)
Uniforms	5,500	5,500	1,743	(3,757)
Inventory	-	-	16,837	16,837
Gas and fuel	65,000	65,000	51,303	(13,697)
Insurance	17,000	17,000	17,997	997
Bank Charges	1,000	1,000	529	(471)
Bad debt	10,000	10,000	4,700	(5,300)
Total expenditures	<u>1,225,494</u>	<u>1,335,494</u>	<u>1,222,467</u>	<u>(113,027)</u>
Net changes in fund balance	<u>\$ 160,109</u>	<u>\$ 195,109</u>	<u>446,024</u>	<u>\$ 250,915</u>
Fund balance - beginning			<u>715,819</u>	
Fund balance - ending			<u>\$ 1,161,843</u>	

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
E- CITATION FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
	Original	Final	Actual	
Revenues				
Fines and forfeitures	\$ 1,100	\$ 1,100	\$ 3,760	\$ 2,660
Interest	-	-	5	5
Total revenues	<u>1,100</u>	<u>1,100</u>	<u>3,765</u>	<u>2,665</u>
 Net changes in fund balance	 <u>\$ 1,100</u>	 <u>\$ 1,100</u>	 <u>3,765</u>	 <u>\$ 2,665</u>
Fund balance - beginning			<u>8,910</u>	
Fund balance - ending			<u>\$ 12,675</u>	

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
DRUG FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
	Original	Final	Actual	
Revenues				
Fines and fees				
Donation	\$ -	\$ -	\$ 29	\$ 29
Drug fines	2,000	2,000	6,508	4,508
Forfeitures	-	-	2,064	2,064
Sale of confiscated property	2,000	2,000	12,000	10,000
Total revenues	<u>4,000</u>	<u>4,000</u>	<u>20,601</u>	<u>16,601</u>
Expenditures				
Public safety:				
Training	2,500	2,500	-	(2,500)
K-9 expenses	-	-	2,540	2,540
Operating supplies	<u>500</u>	<u>8,000</u>	<u>10,229</u>	<u>2,229</u>
Total expenditures	<u>3,000</u>	<u>10,500</u>	<u>12,769</u>	<u>2,269</u>
Excess (deficiency) of revenues over (under) expenditures	1,000	(6,500)	7,832	14,332
Other financing sources (uses):				
Operating transfers out	<u>(10,000)</u>	<u>(10,000)</u>	<u>-</u>	<u>(10,000)</u>
Net changes in fund balance	<u>\$ (9,000)</u>	<u>\$ (16,500)</u>	7,832	<u>\$ 24,332</u>
Fund balance - beginning			<u>60,295</u>	
Fund balance - ending			<u>\$ 68,127</u>	

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
IMPACT FEES FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
	Original	Final	Actual	
Revenues				
Fines, fees, and forfeitures				
Fees	\$ 42,500	\$ 57,500	\$ 280,313	\$ 222,813
Other revenue				
Interest	-	-	25,069	25,069
Total revenues	<u>42,500</u>	<u>57,500</u>	<u>305,382</u>	<u>247,882</u>
Expenditures				
Small equipment expense	-	-	17,361	17,361
Capital outlay	<u>8,500</u>	<u>68,039</u>	<u>49,697</u>	<u>(18,342)</u>
Total expenditures	<u>8,500</u>	<u>68,039</u>	<u>67,058</u>	<u>(981)</u>
 Net changes in fund balance	 <u>\$ 34,000</u>	 <u>\$ (10,539)</u>	 <u>238,324</u>	 <u>\$ 248,863</u>
Fund balance - beginning			<u>688,967</u>	
Fund balance - ending			<u>\$ 927,291</u>	

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
STORMWATER FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
	Original	Final	Actual	
Revenues				
Charges for services	\$ 875,000	\$ 950,000	\$ 1,165,735	\$ 215,735
Other:				
Miscellaneous	5,000	92,000	98,091	6,091
Interest	500	500	3,220	2,720
Total revenues	<u>880,500</u>	<u>1,042,500</u>	<u>1,267,046</u>	<u>224,546</u>
Expenditures				
Environmental services:				
Current:				
Salaries	489,426	529,426	536,601	7,175
Payroll Taxes	37,441	37,441	39,819	2,378
Insurance	105,561	105,561	119,823	14,262
Retirement	27,987	27,987	32,348	4,361
Workers compensation	11,000	11,000	8,390	(2,610)
Employee education	8,000	8,000	9,389	1,389
Fees	6,500	6,500	4,260	(2,240)
Postage	750	750	155	(595)
Dues	1,100	1,100	855	(245)
Public relation	1,500	1,500	22	(1,478)
Utilities	7,500	7,500	9,287	1,787
Telephone	15,000	15,000	15,100	100
Technology	1,000	11,000	5,823	(5,177)
Physicals	1,000	1,000	149	(851)
Auditing	1,000	1,000	2,075	1,075
Engineering	-	40,000	21,882	(18,118)
Data processing	7,000	7,000	6,464	(536)
Other professional services	45,000	45,000	7,760	(37,240)
Repair system	78,000	78,000	22,939	(55,061)
Repair and maintenance- vehicles	15,000	15,000	24,472	9,472
Repair and maintenance- equipment	10,000	20,000	17,177	(2,823)
Building maintenance	-	15,000	11,262	(3,738)
Travel	5,000	5,000	533	(4,467)
Meetings	500	500	-	(500)
Office supplies	1,000	1,000	609	(391)
Operating supplies	10,000	10,000	11,316	1,316
Small items of equipment	12,500	12,500	6,012	(6,488)
Uniforms	3,500	3,500	1,096	(2,404)
Inventory	-	-	10,672	10,672
Gas and fuel	30,000	30,000	21,439	(8,561)
Insurance	10,000	10,000	7,441	(2,559)
Office equipment rental	2,000	2,000	298	(1,702)
Equipment rental	5,000	5,000	-	(5,000)
Bank charges	-	-	355	355
Bad debt	3,000	3,000	2,031	(969)
Capital outlay	<u>35,000</u>	<u>310,150</u>	<u>157,818</u>	<u>(152,332)</u>
Total expenditures	<u>987,265</u>	<u>1,377,415</u>	<u>1,115,672</u>	<u>(261,743)</u>
Net changes in fund balance	\$ (106,765)	\$ (334,915)	151,374	\$ 486,289
Fund balance - beginning			468,066	
Fund balance - ending			<u>\$ 619,440</u>	

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
DEBT SERVICE FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
	Original	Final	Actual	
Revenues				
Interest	\$ -	-	\$ 281	\$ 281
Total revenues	-	-	281	281
Expenditures				
Principal payments	513,000	513,000	513,000	-
Interest payments	477,767	477,767	381,443	(96,324)
Total expenditures	990,767	990,767	894,443	(96,324)
Excess (deficiency) of revenue over (under) expenditures	(990,767)	(990,767)	(894,162)	96,605
Other financing sources (uses)				
Transfers in	990,767	990,767	990,767	-
Total other financing sources (uses)	990,767	990,767	990,767	-
Net changes in fund balance	\$ -	\$ -	96,605	\$ 96,605
Fund balance - beginning			58,636	
Fund balance - ending			\$ 155,241	

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF CHANGES IN PROPERTY TAXES RECEIVABLE
For the Fiscal Year Ended June 30, 2025

Tax Levy for Year	Tax Rate	Tax Levy	Beginning Outstanding Taxes	Additions and Adjustments	Collections	Ending Outstanding Taxes	Outstanding Taxes Being Collected by Chancery Court
2024	***	\$ 6,413,656	\$ -	\$ 6,560,000	\$ 6,315,588	\$ 244,412	\$ -
2023	**	5,235,047	150,557	69	103,283	47,343	47,343
2022	1.06	4,422,553	39,316	-	14,297	25,019	25,019
2021	1.06	4,801,408	20,999	1,981	6,689	16,291	16,291
2020	1.06	11,039,008	15,100	-	6,972	8,128	8,128
2019	1.06	10,746,934	31,589	-	5,055	26,534	26,534
2018	1.21	3,982,140	12,817	-	3,185	9,632	9,632
2017	1.21	3,982,140	11,947	-	1,991	9,956	9,956
2016	1.21	3,985,892	11,732	-	1,577	10,155	10,155
2015	1.21	3,882,467	5,672	-	652	5,020	5,020
			<u>\$ 299,729</u>	<u>\$ 6,562,050</u>	<u>\$ 6,459,289</u>	<u>\$ 402,490</u>	<u>\$ 158,078</u>
Above balances represented as follows:							
Considered current revenue						-	
Allowance for uncollectible accounts						120,871	
Unavailable revenue						281,619	
						<u>402,490</u>	
2025 property tax assessment						6,717,588	
Total taxes receivable						<u>\$ 7,120,078</u>	

** Tax Rate for Robertson County \$0.81 and Sumner County \$1.16

*** Tax Rate for Robertson County \$0.90 and Sumner County \$0.90

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF UTILITY RATES AND NUMBER OF CUSTOMERS
June 30, 2025

Water Customer Rates		
	<u>Inside City Limits</u>	<u>Outside City Limits</u>
Residential		
Water Meter Base fee	5.00	5.00
First 2,000 gallons	16.20	33.94
Over 2,000 gallons	6.48	13.58
Commercial		
Water Meter Base fee	18.00	18.00
First 2,000 gallons	21.00	36.29
Over 2,000 gallons	8.40	14.52
Industrial		
Water Meter Base fee	18.00	18.00
First 2,000 gallons	25.48	38.93
Over 2,000 gallons	10.19	15.57
 Sewer Customer Rates		
	<u>Inside City Limits</u>	<u>Outside City Limits</u>
Residential		
First 2,000 gallons	36.53	47.33
Over 2,000 gallons	14.62	18.93
Commercial		
First 2,000 gallons	43.68	62.00
Over 2,000 gallons	17.47	24.80
Industrial		
First 2,000 gallons	47.33	67.15
Over 2,000 gallons	18.93	26.87
 Solid Waste (Sanitation) Customer Rates		
Residential		
1 or 2 Trash Carts	25.00	
3 or 4 Trash Carts	50.00	
Commercial		
1 or 2 Trash Carts	31.00	
3 Trash Carts	45.50	
4 Trash Carts	60.00	
4 Yard Dumpster	226.00	

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF UTILITY RATES AND NUMBER OF CUSTOMERS
June 30, 2025

Natural Gas Customer Rates

Residential - Inside City Limits

Service Fee	\$	7.00
PTA Rate		0.28
Cost of Gas Rate		0.39

Residential - Outside City Limits

Service Fee	\$	11.00
PTA Rate		0.35
Cost of Gas Rate		0.39

Mitchville

Service Fee	\$	11.00
PTA Rate		0.35
Cost of Gas Rate		0.39

Commercial - Inside/Outside City Limits

Service Fee	\$	36.00
PTA Rate		0.35
Cost of Gas Rate		0.39

Commercial - Inside/Outside Robertson

Service Fee	\$	36.00
PTA Rate		0.35
Cost of Gas Rate		0.39

Commercial - Greenhouse

Service Fee	\$	36.00
PTA Rate		0.35
Cost of Gas Rate		0.39

Commercial - Greenhouse Reduced Tax

Service Fee	\$	36.00
PTA Rate		0.35
Cost of Gas Rate		0.39

Industrial - Inside/Outside City Limits

Service Fee	\$	251.00
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Industrial - Inside/Outside Robertson

Service Fee	\$	251.00
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Usage	PTA Rate	Cost of Gas
0 - 10,000	0.32	0.39
10,001 - 30,000	0.25	0.39
30,001 - 100,000	0.13	0.39
100,001 and up	0.11	0.39

Add PTA Rate and cost of gas together. Then multiply by number of CCF on customer's reading and add service fee charge to that total.

Number of customers:

	2025
Solid Waste	4,884
Water	8,456
Sewer	4,739
Stormwater	5,129
Natural Gas	5,333
	<u>28,541</u>

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF PRINCIPAL AND INTEREST REQUIREMENTS
GENERAL OBLIGATION DEBT - CITY
June 30, 2025

Year	G.O. Refunding		G.O. Bonds		TMBF		Total Requirements		
Ended	Bonds Series 2015		Series 2020						
June 30,	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Total
2026	\$ 205,000	\$ 193,700	\$ 85,000	\$ 110,094	\$ 240,000	\$ 157,835	\$ 530,000	\$ 461,629	\$ 991,629
2027	215,000	188,062	90,000	105,844	247,000	151,597	552,000	445,503	997,503
2028	220,000	181,613	95,000	101,344	254,000	143,960	569,000	426,917	995,917
2029	225,000	175,012	100,000	96,594	261,000	136,724	586,000	408,330	994,330
2030	230,000	168,263	105,000	91,594	268,000	129,288	603,000	389,145	992,145
2031	240,000	161,362	110,000	86,344	276,000	121,652	626,000	369,358	995,358
2032	245,000	154,163	115,000	80,844	284,000	113,789	644,000	348,796	992,796
2033	255,000	146,812	120,000	76,244	292,000	105,698	667,000	328,754	995,754
2034	260,000	139,163	120,000	72,644	300,000	97,379	680,000	309,186	989,186
2035	270,000	130,062	125,000	69,044	309,000	88,832	704,000	287,938	991,938
2036	280,000	120,613	130,000	65,919	317,000	80,028	727,000	266,560	993,560
2037	290,000	110,812	130,000	62,669	327,000	70,997	747,000	244,478	991,478
2038	300,000	100,663	135,000	59,256	336,000	61,681	771,000	221,600	992,600
2039	310,000	90,162	140,000	55,713	346,000	52,108	796,000	197,983	993,983
2040	320,000	79,313	140,000	51,863	355,000	42,251	815,000	173,427	988,427
2041	335,000	67,312	145,000	48,013	365,000	32,137	845,000	147,462	992,462
2042	345,000	54,750	150,000	44,025	376,000	21,738	871,000	120,513	991,513
2043	360,000	41,813	155,000	39,900	387,000	11,026	902,000	92,739	994,739
2044	370,000	28,312	160,000	35,638	-	-	530,000	63,950	593,950
2045	385,000	14,438	165,000	31,238	-	-	550,000	45,676	595,676
2046	-	-	165,000	26,700	-	-	165,000	26,700	191,700
2047	-	-	170,000	21,750	-	-	170,000	21,750	191,750
2048	-	-	180,000	16,650	-	-	180,000	16,650	196,650
2049	-	-	185,000	11,250	-	-	185,000	11,250	196,250
2050	-	-	190,000	5,700	-	-	190,000	5,700	195,700
	<u>\$ 5,660,000</u>	<u>\$ 2,346,400</u>	<u>\$ 3,405,000</u>	<u>\$ 1,466,874</u>	<u>\$ 5,540,000</u>	<u>\$ 1,618,720</u>	<u>\$ 14,605,000</u>	<u>\$ 5,431,994</u>	<u>\$ 20,036,994</u>

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
PROPRIETARY FUNDS
SCHEDULE OF LONG-TERM DEBT
June 30, 2025

Year Ended June 30,	Water & Sewer Refunding - 2016		Water & Sewer Refunding - 2020		State Revolving Loan Fund 2006 Loan #37		Water & Sewer TN Municipal Bond - Series 2023		Total Requirements		
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Total
2026	\$ 490,000	\$ 373,218	\$ 415,000	\$ 481,025	71,268	\$ 7,476	\$ 131,000	\$ 217,500	\$ 1,107,268	\$ 1,079,219	\$ 2,186,487
2027	500,000	360,969	420,000	472,725	72,492	6,252	136,000	211,802	1,128,492	1,051,748	2,180,240
2028	530,000	340,969	425,000	468,525	73,728	5,016	142,000	205,916	1,170,728	1,020,426	2,191,154
2029	545,000	319,769	430,000	464,275	74,988	3,756	149,000	199,709	1,198,988	987,509	2,186,497
2030	515,000	297,968	440,000	455,675	76,272	2,472	155,000	193,227	1,186,272	949,342	2,135,614
2031	535,000	277,368	450,000	442,475	77,580	1,164	162,000	186,485	1,224,580	907,492	2,132,072
2032	555,000	255,969	470,000	424,475	26,337	93	169,000	179,438	1,220,337	859,975	2,080,312
2033	575,000	239,919	490,000	405,675	-	-	176,000	172,086	1,241,000	817,680	2,058,680
2034	590,000	222,069	510,000	386,075	-	-	184,000	156,426	1,284,000	764,570	2,048,570
2035	605,000	204,369	530,000	365,675	-	-	192,000	156,426	1,327,000	726,470	2,053,470
2036	635,000	180,169	550,000	344,475	-	-	200,000	148,074	1,385,000	672,718	2,057,718
2037	435,000	154,769	570,000	322,475	-	-	209,000	139,374	1,214,000	616,618	1,830,618
2038	455,000	137,369	595,000	299,675	-	-	218,000	130,283	1,268,000	567,327	1,835,327
2039	470,000	119,168	620,000	275,875	-	-	165,710	120,800	1,255,710	515,843	1,771,553
2040	490,000	100,368	640,000	251,075	-	-	-	-	1,130,000	351,443	1,481,443
2041	370,000	80,769	670,000	225,475	-	-	-	-	1,040,000	306,244	1,346,244
2042	385,000	65,968	690,000	205,375	-	-	-	-	1,075,000	271,343	1,346,343
2043	400,000	53,938	710,000	184,675	-	-	-	-	1,110,000	238,613	1,348,613
2044	410,000	41,438	730,000	163,375	-	-	-	-	1,140,000	204,813	1,344,813
2045	425,000	28,112	750,000	141,475	-	-	-	-	1,175,000	169,587	1,344,587
2046	440,000	14,300	775,000	118,675	-	-	-	-	1,215,000	132,975	1,347,975
2047	-	-	795,000	99,600	-	-	-	-	795,000	99,600	894,600
2048	-	-	820,000	75,750	-	-	-	-	820,000	75,750	895,750
2049	-	-	840,000	51,150	-	-	-	-	840,000	51,150	891,150
2050	-	-	865,000	25,950	-	-	-	-	865,000	25,950	890,950
	<u>\$ 10,355,000</u>	<u>\$ 3,868,955</u>	<u>\$ 15,200,000</u>	<u>\$ 7,151,675</u>	<u>\$ 472,665</u>	<u>\$ 26,229</u>	<u>\$ 2,388,710</u>	<u>\$ 2,417,546</u>	<u>\$ 28,416,375</u>	<u>\$ 13,464,405</u>	<u>\$ 41,880,780</u>

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF CHANGES IN LONG-TERM DEBT BY INDIVIDUAL ISSUE
June 30, 2025

Description of Indebtedness	Original amount of issue	Interest rate	Date of issue	Last maturity date	Outstanding 7/1/2024	Issued during period	Paid and/or matured during period	Refunded during period	Outstanding 6/30/2025
Governmental Activities									
Capital Outlay Notes									
Payable through Debt Service Fund:									
TN Municipal Bond Fund- Loan #80 - Series 2022	\$ 6,000,000	2.85%	June 10, 2022	June 1, 2043	\$ 698,383	\$ 5,074,617	\$ 233,000	\$ -	\$ 5,540,000
Total Notes Payable through the Debt Service Fund					<u>698,383</u>	<u>5,074,617</u>	<u>233,000</u>	<u>-</u>	<u>5,540,000</u>
Bonds Payable									
General Obligation Bonds, Series 2015	7,410,000	3.50%	August 17, 2015	April 1, 2045	5,860,000	-	200,000	-	5,660,000
General Obligation Bonds, Series 2020	3,780,000	2.625 - 4.00%	May 4, 2020	June 30, 2050	3,485,000	-	80,000	-	3,405,000
Total Bonds Payable					<u>9,345,000</u>	<u>-</u>	<u>280,000</u>	<u>-</u>	<u>9,065,000</u>
Total Governmental Activities					<u>\$ 10,043,383</u>	<u>\$ 5,074,617</u>	<u>\$ 513,000</u>	<u>\$ -</u>	<u>\$ 14,605,000</u>
Business-Type Activities									
Payable through Water and Sewer Fund:									
Capital Outlay Notes									
Jet Vac Truck #76	237,000	2.48%	June 3, 2020	June 15, 2025	\$ 47,400	\$ -	\$ 47,400	\$ -	\$ -
TN Municipal Bond Fund - Series 2023	5,000,000	4.35%	April 10, 2023	April 1, 2048	51,000	2,337,710	-	-	2,388,710
Total Notes Payable through the Water and Sewer Fund					<u>98,400</u>	<u>2,337,710</u>	<u>47,400</u>	<u>-</u>	<u>2,388,710</u>
Bonds Payable									
Payable through Water and Sewer Fund:									
Water and Sewer Revenue Bonds, Series 2016	\$ 14,405,000	3.00%	October 12, 2016	April 1, 2046	\$ 10,835,000	\$ -	\$ 480,000	\$ -	\$ 10,355,000
Water and Sewer Revenue Bonds, Series 2020	16,930,000	2.63%	October 14, 2020	April 1, 2050	15,605,000	-	405,000	-	15,200,000
Total Bonds Payable through the Water and Sewer Fund					<u>26,440,000</u>	<u>-</u>	<u>885,000</u>	<u>-</u>	<u>25,555,000</u>
Payable through Water and Sewer Fund:									
Other Loans Payable									
State Revolving Loan Fund, 2006	1,500,000	1.70%	April 9, 2019	October 1, 2031	542,733	-	70,068	-	472,665
Total Business-Type Activities					<u>27,081,133</u>	<u>2,337,710</u>	<u>1,002,468</u>	<u>-</u>	<u>28,416,375</u>
Total Long-Term Debt					<u>\$ 37,124,516</u>	<u>\$ 7,412,327</u>	<u>\$ 1,515,468</u>	<u>\$ -</u>	<u>\$ 43,021,375</u>

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF TRANSFERS
June 30, 2025

From Fund	To Fund	Purpose	Amount
General Fund	Debt Service	Principal and interest payments	990,767
General Fund	Airport Fund	Operating transfer	83,500
Water and Sewer Fund	General Fund	In-lieu of tax payments	261,033
Gas Fund	General Fund	In-lieu of tax payments	198,432

See independent auditor's report.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
For the Fiscal Year Ended June 30, 2025

	<u>ALN</u>	<u>Pass Through Agency Grant Number</u>	<u>Expenditures</u>
U.S. Department of Transportation			
Passed Through the Tennessee Department of Transportation			
Highway Planning and Construction - CSX Railroad Main Street	20.205	HSIP-ROOS(431)	15,794
Highway Planning and Construction - CSX Railroad East Market	20.205	HSIP-ROOS(432)	8,273
Highway Planning and Construction -CSX Railroad East McGlothlin	20.205	HSIP-ROOS(443)	105,075
Highway Planning and Construction - Kirby Road	20.205	83LPLM-F3-102	29,143
Highway Planning and Construction - SR-109 from SR-52 to College Street	20.205	83LPLM-F3-139	26,085
Highway Planning and Construction - Portland Pedestrian Connector Project	20.205	STP-M-9319(5)	<u>\$ 10,286</u>
Total Highway Planning and Construction			<u>194,656</u>
Airport Improvement Program			
South Apron Expansion	20.106	AERO-25-217	138,070
Land Acquisition	20.106	AERO-24-259	252,630
Airport Layout Plan Update	20.106	AERO-23-313	<u>26,657</u>
Total Airport Improvement Program			<u>417,357</u>
Passed Through the Tennessee Governor's Highway Safety Office :			
Highway Safety Cluster:			
State and Community Highway Safety - Community Based Traffic Safety Enforcement and Education	20.600	Z25THS245	2,459
State and Community Highway Safety - Community Based Traffic Safety Enforcement and Education	20.600	Z24THS230	<u>308</u>
Highway Safety Cluster Subtotal			<u>2,767</u>
Total U.S. Department of Transportation			<u>614,780</u>
Coronavirus State and Local Fiscal Recovery Funds	21.027*		<u>3,053,661</u>
Department of Homeland Security			
Assistance to Firefighters Grant	97.044	EMW-2022-FG-05147	<u>27,360</u>
Total US Department of Homeland Security			<u>27,360</u>
Total Federal Awards			<u>\$ 3,695,801</u>

*Denotes Major Federal Program

Note 1 - Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal award activity of the City under programs of the federal government and State of Tennessee for the year ended June 30, 2025. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the City, it is not intended to and does not present the financial position, changes in net position, or cash flows of the City.

Note 2 - Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years. The City has elected not to use the 10-percent de minimis indirect cost rate as allowed under the Uniform Guidance.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF STATE FINANCIAL ASSISTANCE
For the Fiscal Year Ended June 30, 2025

	<u>State Grant Number</u>	<u>Disbursements</u>
Tennessee Department of Transportation		
Airport Land Acquisition		\$ 14,035
Highway Planning and Construction - SR-52 to SR-109	83012-2212-14	578,983
Passed through the Aeronautics Division		
FY 2025 Airport Maintenance	AERM-25-150	15,000
2024 Direct Appropriation		1,713,967
Airport Layout Plan	AERO-23-313	<u>28,533</u>
Total passed through the Aeronautics Division		<u>1,757,500</u>
Total Tennessee Department of Transportation		<u>2,350,518</u>
Police Salary Supplement		47,200
Fire Salary Supplement		21,600
Tennessee Department of Environment and Conservation		
Local Parks and Recreation Fund	N/A	<u>495,112</u>
Office of Criminal Justice		
VCIF Formula Based Grant	N/A	<u>\$ 22,900</u>
Tennessee Department of Commerce and Insurance		
Tennessee Law Enforcement Training Academy	33501-2448275	<u>27,000</u>
Total State Financial Assistance		<u>\$ 2,964,330</u>

Note 1 - Basis of Presentation

The accompanying schedule of expenditures of state financial assistance (the "Schedule") includes the state financial assistance activity of the City under programs of the State of Tennessee for the year ended June 30, 2025. Because the Schedule presents only a selected portion of the operations of the City, it is not intended to and does not present the financial position, changes in net position, or cash flows of the City.

Note 2 - Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years.

See independent auditor's report.

INTERNAL CONTROL AND COMPLIANCE SECTION



**Independent Auditor's Report on Internal Control Over Financial
Reporting and on Compliance and Other Matters Based on an
Audit of Financial Statements Performed in Accordance
With Government Auditing Standards**

Honorable Mike Callis, Mayor
Members of the City Council
City of Portland, Tennessee

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Portland, Tennessee (the City), as of and for the year ended June 30, 2025, and the related notes to financial statements which collectively comprise the City's basic financial statements and have issued our report thereon dated March 25, 2026.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that have not been identified.

Honorable Mike Callis, Mayor
Members of the City Council
City of Portland, Tennessee

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

ATA, PC

Jackson, Tennessee
March 25, 2026



**Independent Auditor's Report on Compliance for Each Major Federal Program
and Report on Internal Control Over Compliance
Required by the *Uniform Guidance***

Honorable Mike Callis, Mayor
Members of the City Council
City of Portland, Tennessee

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited the City of Portland, Tennessee's (the City) compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended June 30, 2025. The City's major federal programs are identified in the summary of auditor's results section of the accompanying *Schedule of Findings and Questioned Costs*.

In our opinion, the City complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2025.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of *Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the City's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the City's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the City's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about City's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- exercise professional judgement and maintain professional skepticism throughout the audit.
- identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- obtain an understanding of the City's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

ATA, PC

Jackson, Tennessee
March 25, 2026

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
June 30, 2025

SECTION I – Summary of Auditor’s Results

Financial Statements

Type of auditor's report issued:		Unmodified
Internal control over financial reporting:		
Material weakness(es) identified?	_____ yes	_____ X _____ no
Significant deficiency(ies) identified?	_____ yes	_____ X _____ none reported
Noncompliance material to financial statements noted?	_____ yes	_____ X _____ no

Federal Awards

Internal Control over major programs:		
Material weakness(es) identified?	_____ yes	_____ X _____ no
Significant deficiency(ies) identified?	_____ yes	_____ X _____ none reported
Type of auditor's report issued on compliance for major programs:		Unmodified
Any audit findings disclosed that are required to be reported in accordance with Circular 2 CFR 200.516(a)?	_____ yes	_____ X _____ no

Identification of major programs:

<u>ALN</u>	<u>Name of Federal Program or Cluster</u>
21.027	Coronavirus State and Local Fiscal Recovery Funds

Dollar threshold used to distinguish between type A and type B programs:	\$	<u>750,000</u>
Auditee qualified as low-risk auditee?	_____ yes	_____ X _____ no

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
June 30, 2025

SECTION II – Financial Statement Findings

There were no current year findings reported.

SECTION III – Federal Award Findings and Questioned Costs

There were no current year findings or questioned costs reported.

CITY OF PORTLAND, TENNESSEE
SCHEDULE OF PRIOR YEAR FINDINGS
For the Fiscal Year Ended June 30, 2025

Financial Statement Findings

Prior Year Finding Number	Finding Title	Status/Current Year Finding Number
2024-001	Financial Statements Materially Misstated Before Audit Adjustments (Original finding #2021-002)	Corrected
2024-002	Inventory/Workorders (Original finding #2022-003)	Corrected
2024-003	Purchase Orders (Original finding # 2022-002)	Corrected